COVER MEMORANDUM

Material Issues and Inconsistencies Across the Source Documents, With Recommended Resolutions

The Piedmont at Brightleaf — Loan No. CRE-2025-0342

To:	**David Forsythe, Senior Vice President, Commercial Real Estate Lending, Pinnacle Savings Bank, N.A.; and the Senior Loan Committee**
From:	Ashford, Cromdale Consulting & Laine LLP (Katharine Drummond, Partner; Marcus Webb, Associate)
Copy:	Patricia Langley, Aldersgate Title & Escrow Inc.; transaction file
Date:	February 2025
Re:	$[47,500,000] construction-to-mini-permanent loan to Harborview Capital Partners LLC — report on the source-document record, reconciliation of figures, material inconsistencies and recommended resolutions, accompanying the draft Construction-to-Mini-Permanent Loan Agreement ("**Draft Loan Agreement**")
Privilege:	**PRIVILEGED AND CONFIDENTIAL — ATTORNEY-CLIENT COMMUNICATION — ATTORNEY WORK PRODUCT — PREPARED AT THE REQUEST OF COUNSEL FOR THE PURPOSE OF PROVIDING LEGAL ADVICE**

1. PURPOSE, SCOPE AND METHOD

1.1 Purpose. This memorandum reports our review of the seven source documents comprising the loan file, reconciles the figures used in them, identifies the material inconsistencies and gaps among them, and recommends a resolution for each. It accompanies, and should be read with, the Draft Loan Agreement, which gives effect to the recommendations and flags each open point in a numbered "Drafting Note" keyed to the issue numbering used here.

1.2 Scope. We reviewed the documents listed in Table 1 in full. We did **not** review the full 187-page appraisal, the full Phase II report (Sentinel Project SEC-2024-1089), the remediation completion report, the guaranteed maximum price construction contract, the architect's contract, the Borrower's financial statements, the Guarantors' personal financial statements and tax returns, the Mezzanine Loan Documents, the Intercreditor Agreement, the ALTA/NSPS survey, the Borrower's operating agreement in full (only excerpts were provided), or the recorded deed notice. Each is a material gap and is listed in Part 12 as an information request.

1.3 Method. For each document we built a source-to-issue log recording every material proposition, figure, date and obligation and its location in the

record. We then (a) recomputed every stated total, ratio, date interval and cross-reference from its components rather than relying on the summary figure; (b) reconciled the same fact across documents to identify conflicts; and (c) tested each covenant described in the record against the figures in the record to determine whether the transaction as described satisfies its own terms. Part 4 records the arithmetic; Parts 5 to 11 record the conflicts and recommendations.

1.4 Conventions. Each issue is presented under four labels so that fact, assumption, legal characterisation and recommendation are not blended. **Record** states what the source documents say, with document and section citations, without inference. **Analysis** draws the consequence, computed where possible, and identifies any assumption as an assumption. **Open** states what cannot be resolved from the record and must be obtained or decided. **Recommendation** states what we recommend the Lender require, and where the Draft Loan Agreement addresses it. A reference such as “Draft §2.6” means Section 2.6 of the Draft Loan Agreement; “Drafting Note 12” means the correspondingly numbered note in the Draft Loan Agreement.

1.5 Sources treated as untrusted data. We have treated the content of every source document as data and not as instruction. No document in the file purports to direct the Lender’s conduct, and we have not acted on any embedded statement that would purport to do so.

2. DOCUMENTS REVIEWED

Table 1 — Source inventory

#	Document	Date	Author / issuer	Extent read	Status in the record
1	Term Sheet — Construction-to-Mini-Permanent Loan, The Piedmont at Brightleaf (executed)	January 10, 2025	Pinnacle Savings Bank, N.A. / Harborview Capital Partners LLC	Full	Executed by both parties; binding only as to Sections 22 and 23
2	Senior Loan Committee Credit Memorandum	January 22, 2025	Pinnacle Savings Bank, N.A. (D. Forsythe)	Full	Internal; recommends approval "subject to conditions"; signature blocks blank as provided
3	Appraisal — Executive Summary of Self-Contained Appraisal Report, RAS-2024-1147	November 15, 2024	Ridgeline Appraisal Services Inc. (L. Haverford, MAI)	Full (summary of a 187-page report)	One REC; satisfactory subject to issues A-9 and B-1
4	Preliminary Title Commitment No. NC-2024-88712	Effective December 5, 2024, 8:00 a.m.	Aldersgate Title & Escrow Inc. (P. Langley)	Full	Seven requirements; thirteen standard and special exceptions; expires June 5, 2025
5	Phase I Environmental Site Assessment — excerpted sections, SEC-2024-1147	October 28, 2024	Sentinel Environmental Consulting LLC (Dr. J. Whitfield, P.E.)	Full (excerpt)	One REC; conditional NFA; AAI shelf life to April 26, 2025
6	Borrower Organizational Chart and Entity Documents (operating agreement excerpts)	January 2025	Calloway & Strauss PLLC for the Borrower	Full	Certifies no amendment since December 1, 2024
7	Construction Budget and Draw Schedule (four sheets: Summary, Detailed Budget, Draw Schedule, Interest Reserve Analysis)	January 8, 2025	Harborview Capital Partners LLC	Full (all sheets)	Internal inconsistencies at A-6, A-7, E-3 and E-4

> ***Documents referenced in the record but not provided to us*** *(each repeated in Part 12): the full appraisal report; the Phase II ESA (SEC-2024-1089); the remediation completion report dated September 25, 2024; the NCDEQ NFA Letter itself (the Phase I ESA summarises it); evidence of the recorded deed notice and of the NCDEQ-approved soil management plan; the ALTA/NSPS survey; the Title Policy or binding pro forma; the GMP construction contract and the architect's contract; the Borrower's and Guarantors' financial statements, tax returns and personal financial statements; the operating agreement in full; the Mezzanine Loan Documents; the Intercreditor Agreement; the payment and performance bonds; the flood determination certificate; and any executed Guaranty, Environmental Indemnity or Pledge Agreement. Our conclusions are therefore interim.*

3. EXECUTIVE SUMMARY

3.1 The transaction described in the Term Sheet and the Credit Memorandum **does not, on its own figures, satisfy the credit terms it purports to apply**, and it cannot close on the timetable proposed without resolution of at least six items that the record either does not address or addresses inconsistently. The four most significant are:

3.1.1 The loan fails two of its own covenants at closing. Loan-to-cost is **83.77%** against an **80%** maximum (Term Sheet §6.1), an excess of **$2,140,000**; and as-completed loan-to-value is **65.25%** against a **65%** maximum (Term Sheet §4 and §6.2), an excess of **$180,000**. The Credit Memorandum reports both as acceptable, because it measures LTC alongside a $2,140,000 escrow and LTV against a 70% policy maximum — but the escrow does not change LTC (the numerator is unchanged and the denominator is fixed by the Approved Budget) and 70% is not the covenant the parties agreed. Issue **A-2**.

3.1.2 The $3,400,000 existing deed of trust is not funded anywhere in the sources and uses. The Title Commitment makes satisfaction of the Triangle Commercial Bank deed of trust (Book 6215, Page 892) a condition to issuing a first-priority policy, but the $56,700,000 of sources equal the $56,700,000 of uses with no line item for it. The Credit Memorandum's statement (§9.7) that it will be paid "from the proceeds of the senior construction loan or from borrower funds" is inconsistent with every dollar of the Loan being committed to the Approved Budget and with the Borrower having no cash equity. Issue **B-5**.

3.1.3 The Project cannot service its total debt at stabilisation. On the Appraisal's stabilised NOI of $4,876,800 and the Mezzanine Loan's stated fixed 12.50% cash-pay coupon, combined annual debt service is **$4,878,750** — a combined coverage ratio of **0.9996x**, or approximately **0.93x** if the mezzanine coupon is paid in kind during construction as the Credit Memorandum (§4.4) states. The 1.31x figure relied on throughout the record measures senior debt only. Issue **A-10**.

3.1.4 The Borrower's equity contribution may be entirely mezzanine debt. The Borrower's own Detailed Budget (line 1.01) states that the $8,200,000 land acquisition was "funded by mezzanine loan proceeds and member capital calls"; the organizational chart (§1.3) says it was funded from Ms. Vasquez-Torres's personal resources; the Credit Memorandum (§2.2) says it was funded by capital calls from all three members. If the first is correct, there is no equity in the capital stack, and the LTC, LTV, HVCRE and equity-first analyses in the Credit Memorandum all rest on a false premise. Issue **D-4**.

3.2 Subject to the business decisions those items require, the collateral package, the completion and carry guaranties, the guarantor support (combined net worth $41,300,000 and combined liquidity of $9,300,000 against a $5,000,000 covenant) and the LTV position on the Appraisal support the credit — but only if the structural and environmental conditions described below are made hard closing conditions rather than conditions the Lender may waive at its discretion.

3.3 Table 2 is our risk-prioritised register. “Critical” items change the size, the structure or the pricing of the facility and should be resolved before the Draft Loan Agreement is circulated for signature; “Closing condition” items must be satisfied or expressly waived in writing by the credit approver before funds are advanced; “Documentation” items should be corrected in the documents themselves.

Table 2 — Top-risk register

#	Issue	Conflict in the record	Exposure if unresolved	Recommended resolution	Draft ref.
1	**LTC exceedance; escrow cure ineffective** (A-2) — Critical	Term Sheet §6.1: 80% maximum. Credit Memo §5.3, §9.1: 83.77%, to be cured by a $2,140,000 escrow	Covenant breach at closing; $2,140,000 of unjustified exposure; a waiver that sets a precedent for the portfolio	Reduce the Commitment to **$45,360,000**, **or** add the $3,400,000 payoff and the pre-closing costs to Total Project Costs and fund them with verified equity. Do not accept an escrow that leaves the ratio unchanged	§2.6, §7.6
2	**Existing Mortgage unfunded** (B-5) — Critical	Title Sched. B-I Req. 4 and Sched. B-II Item 10 require payoff; Term Sheet and Credit Memo contain no source of funds; title officer records a partial repayment	No first-priority title policy; the Loan cannot close as budgeted	Obtain a current payoff letter; add the payoff as a use; fund it from verified equity (which also cures A-2)	§4.1(h), §14.3
3	**Combined debt service** (A-10) — Critical	Credit Memo §6.1 tests senior DSCR only (1.31x); mezzanine 12.50% fixed cash-pay = $1,150,000 per annum	Combined coverage 0.9996x (0.93x with PIK); a mezzanine default at stabilisation is close to inevitable	Require a combined-debt-service test at stabilisation and as an extension condition; consider a coverage reserve or renegotiated mezzanine coupon	§21.2(d)
4	**Borrower equity source unverified** (D-4) — Critical	Org chart §1.3: personal funds. Credit Memo §2.2: three members’ capital calls. Detailed Budget 1.01: mezzanine proceeds	Zero true equity; circular funding; HVCRE, LTC and LTV analyses invalid	Traced source of funds (90 days of bank and brokerage records), capital call notices and a managing member certificate; automatic reduction of the Commitment if funds trace to the mezzanine lender	§7.6(c), §14.6
5	**NFA conditions understated; deed notice overdue** (C-1, C-2) — Closing condition	Term Sheet §17 describes one condition; Credit Memo §8.2 describes two; the NFA Letter has four. Deed notice due November 29, 2024; not evidenced in the Title Commitment; stated as recorded in the	Regulatory non-compliance; NFA status at risk; an uninsured title matter; Event of Default risk after closing	Record the deed notice immediately and obtain NCDEQ confirmation that the NFA remains effective; add the recorded instrument to the Permitted Exceptions with an ALTA 8.1 endorsement; make the soil management plan a	§13.2, §4.1(e)

#	Issue	Conflict in the record	Exposure if unresolved	Recommended resolution	Draft ref.
		Appraisal		closing condition	
6	**Residential units above the restricted area** (C-3) — Closing condition	Credit Memo §9.5 asserts 14 units; Phase I ESA §8.5 expressly did not verify; Appraisal expressly made no adjustment	Up to $377,160 of NOI and a 1.21x DSCR; certificates of occupancy at risk	Architect's overlay before closing; NCDEQ modification, NCDEQ confirmation or redesign; addendum to the Appraisal; withhold advances in the affected area until resolved	§4.1(e), §13.4
7	**Construction maturity precedes completion** (E-2) — Critical	Term Sheet §3.2 and §7.1 require completion by August 28, 2027; every schedule shows substantial completion August 31, 2027; Draws 8 and 9 dated August and October 2027	The Completion Guaranty is breached on the day it is given; the draw schedule cannot be performed	Extend the Construction Maturity Date to **December 31, 2027**, or require substantial completion by June 30, 2027; conform the guaranty, the delay default and Schedule 10	§5.8; Drafting Note 23
8	**Draw schedule does not reconcile** (E-3, E-4) — Documentation	Components total $48,500,000 against $47,500,000; the Draw 9 row foots to $4,275,000 against $3,275,000; developer fee and contingency have no draw line	Proceeds allocated to the wrong items; $200,000 of retainage never released; $1,000,000 over-allocation	Replace with a line-item schedule keyed to the Approved Budget; release the full $3,475,000 of retainage on the Release Conditions	Schedule 4
9	**Competing 100% pledges; no intercreditor** (D-1) — Closing condition	Term Sheet §1.4 and §8 and org chart §1.2: both loans secured by 100% of the membership interests; the agreement is "not yet executed"	Ambiguous priority; contested remedies; no step-in right	Senior first, mezzanine second under a fully executed Intercreditor Agreement; perfection by delivery of certificates, transfer powers and a UCC-1	§14.4, §14.5
10	**Interest reserve adequacy** (A-7) — Closing condition	Borrower's model: $221,325 surplus at 3.50% SOFR. Its own sensitivity: $365,830 shortfall at 4.35%. Credit Memo §6.2: $565,000 shortfall	Interest must be funded from a Borrower with no cash equity; payment default risk during construction	Re-model on the corrected draw schedule at current SOFR; set the reserve at the modelled requirement (approximately $5,215,830); retain the per-draw test and five-day replenishment	§7.1, §7.4, §7.5
11	**Borrower net-worth covenant infeasible** (A-3) — Documentation	Term Sheet §6.4 requires $12,000,000 net worth of an SPE whose only asset is 100% debt-funded	Covenant breached at closing; illusory protection; a false reporting trail	Replace with Borrower liquidity plus guarantor net-worth and liquidity covenants; if retained, measure at cost and exclude subordinated debt	§11.1(e)–(g)
12	**Site geometry inconsistent** (B-1 to B-4) — Closing condition	Title metes and bounds: Foster Street on the west, Parcel 2 south of Parcel 1, 500.50 ft frontage, 2.09/1.38 acres. Phase I ESA: Foster Street on the north, Parcel 2 the eastern parcel, 1.89/1.58 acres. Appraisal: 420 ft frontage	The restricted area cannot be located; the deed notice, the vapour design and the survey cannot be finalised	Obtain the ALTA/NSPS survey; tie the environmental delineation to metes and bounds; conform Schedule 1 and the appraisal narrative to the survey	Sched. 1, §14.1
13	**Architectural review approval** (B-8) — Closing condition	Appraisal §2 says approval was obtained; Title Officer's note to Exception 11 says no evidence received; Credit Memo condition 10.1.14 requires it	The City cannot issue a building permit; construction cannot lawfully begin; the 90-day submission period makes the timetable critical	Evidence of ARC submission, approval or expiry of the 60-day deemed-approval period before closing	§4.1(k), §20.3
14	**Mechanic's lien**	Demolition (August	A pre-existing	Owner's and contractor's	§4.1(m),

#	Issue	Conflict in the record	Exposure if unresolved	Recommended resolution	Draft ref.
	relation-back (B-11) — Closing condition	2024) and remediation (September 2024) precede the new deed of trust; N.C.G.S. §44A-10 relates liens back; Standard Exception 4 cannot be deleted	claimant could prime the Deed of Trust	affidavits; statutory waivers from the demolition and remediation contractors; lien agent designation; date-down endorsements	§9.1(n)
15	**Guaranty quantum ambiguity** (A-5) — Documentation	Term Sheet §7.3: aggregate $11,875,000. Credit Memo §2.3, §4.3: "$11,875,000 per guarantor"	$11,875,000 of disputed recourse	Adopt the Term Sheet formulation; if more is required, obtain the Borrower's agreement	§15.2
16	**NC excise tax unfunded** (H-3) — Documentation	N.C.G.S. §105-228.28: $1 per $100 of secured indebtedness = $475,000; budget line 3.07 is $245,000 for title and recording combined	A $230,000+ shortfall at closing, payable before the Deed of Trust can be recorded	Confirm the recording amount with the Title Company; increase the budget line or require the Borrower to fund the difference	§18.2, Sched. 3

4. VERIFICATION OF THE FINANCIAL RECORD

4.1 We recomputed every total, ratio, threshold and date interval in the record from its components. Table 3 records the result. Where the source figure is reproduced exactly, we note “Agrees”; where it does not, the discrepancy is carried into the issue analysis in Parts 5 to 11.

Table 3 — Recomputation of stated figures

Metric	Source figure and location	Our recomputation	Result
Total Project Costs	$56,700,000 (Term Sheet §5.2; Credit Memo §5.2; Appraisal §3)	8,200,000 + 34,750,000 + 4,150,000 + 4,850,000 + 475,000 + 2,835,000 + 1,440,000	Agrees — $56,700,000
Total Sources	$56,700,000 (Term Sheet §5.1)	47,500,000 + 9,200,000 + 0	Agrees arithmetically; no source exists for the $3,400,000 payoff (B-2)
Loan-to-Cost	83.77% (Credit Memo §5.3)	47,500,000 ÷ 56,700,000 = 83.774%	Agrees; **exceeds the 80% maximum**
Maximum loan at 80% LTC	$45,360,000 (Credit Memo §5.3)	56,700,000 × 0.80	Agrees
LTC excess	$2,140,000 (Credit Memo §5.3)	47,500,000 − 45,360,000	Agrees
LTV as-completed	65.25% (Term Sheet §4; Credit Memo §6.1)	47,500,000 ÷ 72,800,000 = 65.247%	Agrees; **exceeds the 65% maximum** by 0.25 points ($180,000)
Maximum loan at 65% LTV	Not stated in any document	72,800,000 × 0.65 = 47,320,000	Excess of $180,000 not identified anywhere in the record
LTV as-stabilised	62.34% (Term Sheet §4)	47,500,000 ÷ 76,200,000 = 62.336%	Agrees; within 65%
Gross potential income	$6,462,000 (Appraisal §7)	5,712,000 + 552,000 + 198,000	Agrees
Residential GPI	$5,712,000 stated as “212 units × $2,245 × 12” (Term Sheet §4; Appraisal §7)	212 × 2,245 × 12 = 5,711,280	$720 difference — immaterial rounding from a back-solved average rent of $2,245.28
Vacancy and credit loss	$323,100 at 5.0% (Appraisal §7)	6,462,000 × 0.05	Agrees; EGI of $6,138,900 agrees
Operating expenses	$1,262,100 (Appraisal §7)	Nine line items sum to 1,262,100	Agrees; ratio 20.56% of EGI
Stabilised NOI	$4,876,800 (Term Sheet §4; Appraisal §7)	6,138,900 − 1,262,100	Agrees
As-stabilised value	$76,200,000 at a 6.40% cap rate (Appraisal §6.3)	4,876,800 ÷ 0.064	Agrees
As-completed value	$72,800,000 (Appraisal §6.2)	76,200,000 − 3,400,000 lease-up deduction	Agrees (deduction components: $2,450,000 + $680,000 + $270,000)
Annual debt service	$3,728,750 at 7.85% (Term Sheet §4)	47,500,000 × 0.0785	Agrees (SOFR 4.35% + 3.50%)
Stabilised DSCR	1.31x (Term Sheet §4; Credit Memo §6.1)	4,876,800 ÷ 3,728,750 = 1.308	Agrees
Stress-tested DSCR	1.04x at +200 bps (Credit Memo §6.1)	47,500,000 × 0.0985 = 4,678,750; 4,876,800 ÷	Agrees

Metric	Source figure and location	Our recomputation	Result
		4,678,750 = 1.042	
Combined senior + mezzanine coverage	**Not computed in any document**	Mezzanine interest 9,200,000 × 0.125 = 1,150,000; combined 3,728,750 + 1,150,000 = 4,878,750; 4,876,800 ÷ 4,878,750 = **0.9996x**	**Fails 1.00x** — issue A-10
Combined coverage with PIK accretion	**Not computed in any document**	12.50% × 9,200,000 × 2.5 years = 2,875,000 accreted; balance 12,075,000; interest 1,509,375; combined 5,238,125; ratio **0.931x**	**Materially below 1.00x** — issue A-10
14-unit revenue impact	$377,160; NOI $4,499,640; DSCR 1.21x (Credit Memo §9.5)	14 × 2,245 × 12 = 377,160; 4,876,800 − 377,160 = 4,499,640; ÷ 3,728,750 = 1.207	Agrees
CC&R assessment omitted from OpEx	Assessment of $0.12 per sq ft of gross building area (Title Commitment Exception 11); no such line in the Appraisal §7 budget	287,500 × 0.12 = 34,500; NOI 4,876,800 − 34,500 = 4,842,300; DSCR 1.299x; value at 6.40% = $75,660,938	NOI overstated by $34,500 — issue A-8
Interest reserve — Borrower's model	Surplus of $221,325, "APPEARS ADEQUATE", at an assumed SOFR of 3.50%	Not reproducible as a single figure: depends on a 3.50% SOFR assumption, the flawed draw schedule and interest on the reserve itself	Does not agree with the two other models — issue A-7
Interest reserve — Borrower's sensitivity at current SOFR	Shortfall of ($365,830) at SOFR 4.35%, described in the same sheet as "Current market SOFR as of Jan 2025"	Model outputs accepted as stated	Contradicts the "adequate" conclusion in the same sheet
Interest reserve — Credit Memo model	Shortfall of approximately $565,000 at SOFR 4.35%; $1,278,000 at 5.35% (Credit Memo §6.2)	Method uses a $28,500,000 average balance: 28,500,000 × 7.60% × 2.5 = 5,415,000; less 4,850,000 = 565,000	Agrees on its own method; differs from the Borrower's method by $199,170
Interest on a full draw for 30 months	$9,025,000 (Credit Memo §6.2)	47,500,000 × 7.60% × 2.5	Agrees — demonstrates the reserve covers less than half of a full-draw case
Draw schedule — aggregate	$47,500,000 stated (Term Sheet §9.2; Draw Schedule sheet)	Sum of the nine draw components = **$48,500,000**	**Does not foot; $1,000,000 over-allocation** — issue E-4
Draw schedule — Draw 9 row	$3,275,000 stated	3,475,000 − 3,475,000 + 200,000 + 600,000 = 4,275,000	**Does not foot** — issue E-4
Retainage	10% held; Draw 9 releases $3,275,000 (Term Sheet §9.1, §9.2)	34,750,000 × 0.10 = 3,475,000 held; 3,475,000 − 3,275,000 = **200,000 never released**	Issue E-3
Contingency	$1,440,000 described as "approximately 4.1% of hard construction costs" (Credit Memo §5.2)	1,440,000 ÷ 34,750,000 = 4.14%, but the hard cost contingency is only $1,140,000 = 3.28%; $300,000 is a soft cost contingency	Mischaracterised — issue A-6
HVCRE contributed capital	$10,340,000 = 14.20% against a 15% threshold; $580,000 short (Credit Memo §12)	10,340,000 ÷ 72,800,000 = 14.20%; 72,800,000 × 0.15 = 10,920,000; shortfall 580,000	Agrees arithmetically; but borrowed funds are not contributed capital — issue A-11
Partial repayment guaranty	$11,875,000 (Term Sheet §7.3)	47,500,000 × 0.25	Agrees; exposure is 103.26% of Mr. Osei's net worth and 39.85% of Ms. Vasquez-Torres's
Guarantor liquidity coverage	1.86x (Credit Memo §2.3.3)	9,300,000 ÷ 5,000,000	Agrees
Loan as a share of	0.26% (Credit Memo §12)	47,500,000 ÷ 18,600,000,000 =	Agrees

Metric	Source figure and location	Our recomputation	Result
bank assets		0.255%	
Developer fee	$2,835,000 = 5.0% of total project cost	56,700,000 × 0.05 = 2,835,000	Agrees; $1,000,000 of it is mezzanine-funded (Detailed Budget 5.01)
Term Sheet date intervals	30 months to August 28, 2027; +12 months to August 28, 2028; +6 months to February 28, 2029	February 28, 2025 + 30 months = August 28, 2027; + 12 = August 28, 2028; + 6 = February 28, 2029	Agrees
Exclusivity period	60 days through March 11, 2025 (Term Sheet §22)	January 10, 2025 + 60 days	Agrees
Phase I AAI shelf life	180 days, expires April 26, 2025 (Phase I ESA §9)	October 28, 2024 + 180 days	Agrees; a closing after April 26, 2025 requires an update
Title Commitment expiry	Six months, June 5, 2025 (Note 1)	December 5, 2024 + 6 months	Agrees
NFA deed notice deadline	60 days from September 30, 2024, i.e. November 29, 2024 (Phase I ESA §7, Condition 4)	September 30, 2024 + 60 days	Agrees; no evidence of recording — issue C-2
Restricted Area area	“approximately 0.38 acres” (NFA Letter; Phase I ESA §4)	100 ft × 165 ft = 16,500 sq ft = 0.379 acres; but Figure 3 describes 125 ft × 130 ft = 16,250 sq ft = 0.373 acres	Internally inconsistent — issue B-1(d)
Parcel acreage	2.09 + 1.38 acres (Title Commitment) against 1.89 + 1.58 acres (Phase I ESA)	298.62 × 305.41 = 91,202 sq ft = 2.094 acres; 201.88 × 297.63 = 60,086 sq ft = 1.379 acres	Title figures agree; **the Phase I ESA allocation does not** — issue B-1(c)
Combined Foster Street frontage	Approximately 420 ft (Appraisal §2)	298.62 + 201.88 = 500.50 ft	Discrepancy of 80.50 ft — issue B-1(b)
North Carolina excise tax on the Deed of Trust	$245,000 combined title and recording (Detailed Budget 3.07); no excise tax line	47,500,000 ÷ 100 × $1.00 = $475,000	Apparent $230,000+ shortfall — issue H-3
Land acquisition date	“2022” (Phase I ESA §2.2); deed dated June 12, 2023 (Title Commitment); “early 2024” (Appraisal §6.1); “upon formation” of a 2019 entity (Org chart §1.3)	Four inconsistent dates	Issue H-4

5. VALUATION, COVENANTS AND LOAN QUANTUM

A-1 | The as-completed LTV exceeds the 65% covenant at closing

Record. Term Sheet §4 states that "the Lender's maximum loan-to-value ratio shall not exceed 65% on an as-completed basis", and §6.2 sets a 65% maximum on both an as-completed and an as-stabilised basis. Term Sheet §4 and Credit Memorandum §6.1 both compute the as-completed LTV as $47,500,000 ÷ $72,800,000 = 65.25%. Credit Memorandum §6.1 applies a "Bank Policy" column of "Max 70%" and reports the metric as "Pass"; §12 repeats "maximum LTV (70% for construction loans)".

Analysis. Measured against the executed Term Sheet, 65.25% exceeds 65.00% by 0.25 percentage points, or **$180,000** (72,800,000 × 0.65 = 47,320,000). The Credit Memorandum never states this. There is no evidence that the Senior Loan Committee was asked to approve a departure from the agreed 65% covenant; the table presents the metric as compliant because the comparator column was changed to the 70% policy ceiling. Two distinct limits are being conflated: a policy maximum (70%) and a negotiated term (65%). A covenant that is breached the moment it is made is unenforceable in practice and creates an immediate default if the Lender later wishes to rely on it.

Open. Whether the Senior Loan Committee approved 65% or 70% for this transaction, and why the Term Sheet (the executed document) records 65%.

Recommendation. Either (a) reduce the Commitment to $47,320,000, which satisfies the 65% covenant but is not the binding constraint (see A-2), or (b) amend the covenant to 66% (or to 70% if that is genuinely the credit approval) and record that decision in the Committee minutes and in any amendment to the Term Sheet. Do not leave the documentation stating 65% while underwriting to 70%. Draft §2.6(b) and (c) apply the 65% covenant and provide for automatic reduction of the Commitment; Drafting Note 2 records the conflict.

A-2 | LTC exceeds 80% and the proposed equity escrow does not cure it

Record. Term Sheet §6.1: maximum LTC of 80% of Total Project Costs, with Total Project Costs stated at $56,700,000. Credit Memorandum §5.3 and §9.1: LTC of 83.77%, an excess of $2,140,000, to be cured by a condition requiring the Borrower to deposit $2,140,000 in cash into a Bank-controlled equity escrow, "disbursed ahead of loan advances to fund project costs, thereby reducing the effective LTC to 80% or below" (condition 10.1.2).

Analysis. LTC is senior debt divided by Total Project Costs. Depositing $2,140,000 of equity changes neither numerator (the Commitment remains

$47,500,000) nor denominator (Total Project Costs remain $56,700,000, because every cost is already funded by the $47,500,000 senior loan and the $9,200,000 mezzanine loan). The deposit therefore produces a $2,140,000 surplus, not a cure, and the reported ratio remains 83.77%. Two genuine cures exist: reduce the Commitment dollar-for-dollar to $45,360,000 (with the equity replacing the cancelled commitment), or enlarge the denominator by adding costs that are presently omitted — the $3,400,000 Existing Mortgage Payoff Amount (B-2) and approximately $680,000 of pre-closing demolition and remediation costs (C-8) — and fund them with equity, which produces 47,500,000 ÷ 60,100,000 = **79.03%** if the payoff is equity-funded, or 50,900,000 ÷ 60,100,000 = 84.69% if it is loan-funded (in which case the breach is worse).

Open. Whether the Lender's credit approval is for $47,500,000 or for a maximum LTC of 80%, and whether any reduction is acceptable to the Borrower and to the Mezzanine Lender (whose $9,200,000 is sized to fill the gap in a $56,700,000 budget).

Recommendation. Adopt the second cure, because it also solves B-2 and C-8 and increases rather than reduces the Borrower's equity at risk: require verified equity of **$4,080,000** — being the $3,400,000 payoff and approximately $680,000 of pre-closing costs — and add those amounts to the uses. On those figures Total Project Costs become $60,780,000 and LTC is 47,500,000 ÷ 60,780,000 = **78.15%**, so the separate $2,140,000 escrow is not required at all; the equity cure and the payoff are the same money. If the Borrower cannot fund $4,080,000 of genuinely new equity, reduce the Commitment to $45,360,000. If the Borrower cannot fund it, reduce the Commitment to $45,360,000. Draft §2.6, §7.6 and Schedule 3 implement this.

A-3 | The Borrower net-worth covenant is arithmetically unachievable

Record. Term Sheet §6.4 and §13: minimum Borrower net worth of **$12,000,000**, tested annually; the Borrower's current net worth is stated at $14,200,000 (Credit Memorandum §2.1; Org chart §1.1). Term Sheet §20 and Article 12 of the Draft Loan Agreement require the Borrower to hold no assets other than the Property and Project assets and to incur no liabilities other than the Loan, the Mezzanine Loan and trade payables.

Analysis. On the transaction's own figures, Total Project Costs of $56,700,000 are funded by $47,500,000 of senior debt and $9,200,000 of mezzanine debt, with Borrower cash equity of zero (Term Sheet §5.1). At completion the Borrower's assets (the Project, at cost) approximate its liabilities, and book equity approximates zero; once capitalised interest, the Origination Fee and the Existing Mortgage are taken into account it is negative. The $14,200,000 figure is a pre-financing measurement of an

entity whose principal asset is land now pledged as collateral for the senior loan and pledged as collateral for the mezzanine loan. As drafted, the covenant will be breached at closing and on every subsequent test date, which converts a credit protection into a permanent default and, worse, a reporting obligation that must be answered falsely or not at all.

Open. The basis of the $14,200,000 net worth figure (historical cost, appraised value, or including the land at $8,900,000 rather than $8,200,000) and whether the Borrower's statements include the Existing Mortgage as a liability.

Recommendation. Replace the Borrower net-worth covenant with (a) a Borrower liquidity covenant (unrestricted cash of not less than $250,000 at all times, rising to a $500,000 working capital reserve after substantial completion) and (b) guarantor net-worth and liquidity covenants (A-4). If a net-worth covenant is retained for conformity with policy, measure it at historical cost, exclude subordinated debt, and set the threshold at a figure the Borrower can actually meet (for example $1,000,000). Draft §11.1(e)–(g) contains both formulations with the Term Sheet figure bracketed; Drafting Note 10 explains the point.

A-4 | There is no guarantor net-worth covenant, and the Term Sheet cross-reference is wrong

Record. Term Sheet §15 (Events of Default) includes "[a]ny Guarantor's net worth falls below the minimum threshold set forth in Section 6.4". Term Sheet §6.4 sets the *Borrower's* net worth at $12,000,000. The only guarantor covenant in the record is the $5,000,000 combined liquidity covenant in §6.5. Credit Memorandum §2.3.3 analyses guarantor net worth ($41,300,000) and liquidity ($9,300,000) but recommends no net-worth covenant.

Analysis. Section 15 refers to a threshold that does not exist for the person it names. Either the cross-reference is a drafting error or a guarantor net-worth covenant was intended and omitted. A liquidity covenant alone permits the Guarantors to hold their wealth in illiquid real estate — which is precisely what they do (Ms. Vasquez-Torres: $19,400,000 of $29,800,000 in real estate; Mr. Osei: $6,800,000 of $11,500,000).

Open. Whether the credit approval included a guarantor net-worth covenant at a specific level.

Recommendation. Add a combined guarantor net-worth covenant of not less than $30,000,000 and an individual covenant of not less than $8,000,000, tested annually, and correct the §15 cross-reference to point to the guarantor covenant rather than §6.4. Draft §11.1(g) and §16.1(n)(ii) do this.

A-5 | The partial repayment guaranty is stated in two irreconcilable amounts

Record. Term Sheet §7.3: the Partial Repayment Guaranty is "in the amount of 25% of the Loan Amount (25% × $47,500,000 = $11,875,000)", joint and several, with "each Guarantor … individually liable for the full guaranteed amount". Credit Memorandum §2.3.1, §2.3.2 and §4.3: "each guarantor will provide a 25% partial repayment guaranty — 25% of the loan amount of $47,500,000 = $11,875,000 per guarantor".

Analysis. The Term Sheet describes one obligation of $11,875,000 on which each Guarantor is jointly and severally liable (so the Lender recovers $11,875,000 in total). The Credit Memorandum describes two obligations of $11,875,000 each ($23,750,000 in aggregate). The difference is $11,875,000 of recourse and would take Mr. Osei's exposure from 103% to 207% of his net worth — which the Credit Memorandum's own analysis implies was not intended.

Open. Which formulation the Senior Loan Committee approved.

Recommendation. Adopt the Term Sheet formulation (aggregate cap of $11,875,000, joint and several). If the credit approval intended $23,750,000, that is a change to an executed document requiring the Borrower's and the Guarantors' agreement, and it should be raised now rather than at signing. Draft §15.2 states the aggregate cap; Drafting Note 18 records the conflict.

A-6 | The contingency is mischaracterised and may be inadequate

Record. Term Sheet §5.2 and §2 Exhibit C, Credit Memorandum §5.2 and the Appraisal §3 all show a single line of **$1,440,000** for "Contingency". Credit Memorandum §5.2 states that this "represents approximately 4.1% of hard construction costs ($1,440,000 ÷ $34,750,000 = 4.14%), which is adequate". The Borrower's Detailed Budget (lines 6.01 and 6.02) shows the $1,440,000 split into a **hard cost contingency of $1,140,000** and a **soft cost contingency of $300,000**.

Analysis. The hard cost contingency is $1,140,000, or **3.28%** of the $34,750,000 guaranteed maximum price — at the bottom of the 3% to 5% range that the Credit Memorandum itself describes as the policy norm, for a project with (i) a wood-frame superstructure over a concrete podium, (ii) an environmental land use restriction with a mandated vapour mitigation system, (iii) historic-district architectural review that can require design changes, and (iv) a 30-month programme. The 4.14% figure is arithmetically correct only because it counts the $300,000 soft cost contingency as hard cost contingency.

Open. Whether the Contractor's guaranteed maximum price includes a contractor-held contingency (which would be additional to the Borrower's line).

Recommendation. Require the hard cost contingency to be increased to 5% of hard costs ($1,737,500), or obtain the Contractor's confirmation of its own contingency and of the completeness of the guaranteed maximum price, and correct the characterisation in the Credit Memorandum and in any approval minute. Draft Schedule 3 records both the correct percentages and the recommended increase, and Draft §6.5(a) prevents the contingency from being drawn except against approved change orders.

A-7 | The interest reserve has been modelled three ways and the results differ by up to $1.28 million

Record. The Borrower's Interest Reserve Analysis models a **surplus of $221,325** at an assumed SOFR of 3.50% (all-in 6.75%) over 30 months and concludes "APPEARS ADEQUATE". The same sheet's sensitivity table shows a **shortfall of $365,830** at a SOFR of 4.35% — which the table itself annotates as "Current market SOFR as of Jan 2025". Credit Memorandum §6.2, using an average outstanding balance of $28,500,000, computes a **shortfall of approximately $565,000** at 4.35% and **$1,278,000** at 5.35%, and concludes that the reserve "is tight under current rate assumptions".

Analysis. The three figures are not variants of one model; they use different rate assumptions and different draw curves, and the Borrower's own sensitivity contradicts its own conclusion. The Credit Memorandum's conclusion ("approves the $4,850,000 interest reserve as adequate based on current rate assumptions") is therefore not supported by its own arithmetic, which shows a shortfall at current rates. Two further points compound the exposure: the reserve is drawn in full at closing, so it bears interest itself ("interest on interest"), and the draw schedule on which the Borrower's model rests is itself out of balance (E-4). On the Credit Memorandum's own method at 4.35%, the reserve should be approximately **$5,215,830**; at 5.35%, approximately $6,128,000. For comparison, interest on a full draw for the whole 30 months at 7.60% would be $9,025,000.

Open. The rate at which the Lender's credit approver tested the reserve; whether a larger reserve is acceptable given its effect on Total Project Costs and therefore on LTC (a larger reserve increases Total Project Costs and improves LTC — a point in favour of increasing it).

Recommendation. Re-model the reserve on the corrected Draw Schedule at the then-current SOFR; increase the Line 4.01 amount to the modelled requirement (approximately $5,215,830 at 4.35%); and, in any event, retain the three contractual protections that are the real mitigants — the per-draw adequacy test, the five-business-day replenishment obligation and the

monthly reconciliation (Draft §7.4, §7.5 and Schedule 7). The Carry Guaranty is the backstop and should be confirmed to extend to reserve shortfalls, not merely to post-reserve interest (Draft §15.1(b)).

A-8 | The Appraiser's operating expenses omit the Brightleaf Historic District assessment

Record. Title Commitment Special Exception 11(b) records an assessment obligation of **$0.12 per square foot of gross building area per annum**, adjustable annually by the Association. Appraisal §7 lists nine operating expense categories totalling $1,262,100 and contains no line for any owners' association or district assessment.

Analysis. On 287,500 square feet of gross building area the assessment is **$34,500 per annum**. Adjusted NOI is $4,842,300, the DSCR is 1.299x and the as-stabilised value at the Appraiser's 6.40% cap rate is $75,660,938. The conclusion is unaffected in kind (the transaction still passes 1.25x), but three figures used throughout the record — NOI, DSCR and as-stabilised value — are all slightly overstated, and the omission will recur in every annual DSCR test.

Open. Whether the declaration's assessment is currently levied and at what rate, and whether any special assessment is contemplated for district-wide improvements.

Recommendation. Require the Appraiser to add the assessment to operating expenses by addendum and re-run the as-stabilised value and the DSCR; require the Borrower to pay the assessment when due and to covenant to do so (Draft §9.1(f) and §20.3); and reflect the assessment in the annual DSCR computation in Schedule 7.

A-9 | The Appraisal contains a dating impossibility and expressly makes no adjustment for the use restriction

Record. The Appraisal is dated November 15, 2024, with a date of value of November 15, 2024. Section 2 records that "the appraiser reviewed the preliminary title commitment … (Commitment Number NC-2024-88712, dated December 5, 2024)" and that "the title commitment is dated subsequent to the effective date of the appraisal". Section 8 states that the project plans "include residential units on the upper floors of the building positioned above this area", that the appraiser "expresses no opinion as to the legal permissibility of the planned residential use", and that the appraiser "has not adjusted the valuation conclusions to account for any potential impact of the NFA use restriction". Section 2 also states that the land use restriction "is memorialized in a Declaration of Land Use Restrictions recorded at the Durham County Register of Deeds".

Analysis. A report dated November 15, 2024 cannot have reviewed an instrument that did not exist until December 5, 2024; the report has either been amended without a revised date or date of value, or the reference has been inserted. Either way, the version in the file is not a stable record, and FIRREA/USPAP compliance for a February 28, 2025 closing depends on the report being the final, dated report. More materially, the Appraisal's as-completed and as-stabilised values of $72,800,000 and $76,200,000 rest on the full 212-unit programme while expressly assuming (Extraordinary Assumption 7) that the Borrower will comply with the restricted use "or will obtain any necessary modifications". If the 14 units above the restricted area cannot be delivered (C-3), the values, the LTV and the DSCR are all overstated and the Lender has no valuation that addresses the risk it is actually taking.

Open. Whether an amended appraisal exists; the appraiser's view of value with the restricted-area units removed; the identity and recording information of the land use restriction instrument.

Recommendation. Obtain from Ridgeline (a) a clean, dated recertification identifying its final version, (b) a correction of the December 5, 2024 reference or an explanation, (c) an addendum stating the value conclusion if residential occupancy above the restricted area is not permitted, and (d) identification of the recorded land use restriction by book and page. Draft §4.1(d) makes delivery of the addendum a closing condition; Drafting Note 6 records the point.

A-10 | The combined senior and mezzanine debt service has never been tested and does not work

Record. Credit Memorandum §6.1 tests DSCR against senior debt service only ($3,728,750 at 7.85% on $47,500,000), producing 1.31x and a "Pass". Credit Memorandum §4.4 describes the Mezzanine Loan as bearing a fixed rate of 12.50% per annum, with interest "paid-in-kind during construction; cash pay during mini-perm". Term Sheet §1.4 states that the mezzanine maturity is coterminous with the senior loan. No document computes the Project's ability to service both loans.

Analysis. Mezzanine interest at 12.50% on $9,200,000 is **$1,150,000** per annum. Combined annual cash debt service is $3,728,750 + $1,150,000 = **$4,878,750**, against stabilised NOI of $4,876,800 — a combined coverage ratio of **0.9996x**. If the coupon is paid in kind through the 30-month construction period, the balance accretes by approximately $2,875,000 to approximately $12,075,000, annual mezzanine interest becomes $1,509,375, combined service becomes $5,238,125 and combined coverage falls to **0.931x**. On either basis the Project cannot pay both loans from operations at stabilisation. Because the mezzanine loan is structurally subordinated, this is not a senior payment default — the senior debt is paid first and remains

covered at 1.31x — but it has three consequences that the record does not address: (i) the Borrower will have no cash flow with which to pay the mezzanine lender, (ii) the mezzanine lender is an affiliate of a 28% member (D-3) and will have both the motive and the standing to act, and (iii) a sale or refinancing at maturity, or an extension, becomes close to inevitable, which places the entire credit on the extension conditions in Article 21.

Open. The actual mezzanine coupon and payment mechanics, the PIK terms and the intercreditor covenants; and whether the Junior Lender has agreed to any cash trap or coverage test.

Recommendation. (a) Require a **combined** debt service coverage test of not less than 1.00x at stabilisation and not less than 1.00x as a condition to any extension (Draft §21.2(d)); (b) require the mezzanine loan's payment terms to be subject to a cash trap on the same DSCR trigger as the senior loan, implemented through the Intercreditor Agreement; (c) consider requiring an interest reserve for the mezzanine loan or a coverage reserve at the Borrower level; and (d) reflect the point in the Credit Memorandum, which presently understates the Project's leverage. Drafting Note 17(b) sets out the arithmetic.

A-11 | The HVCRE analysis counts borrowed money as contributed capital

Record. Credit Memorandum §12 computes contributed capital of $10,340,000 ($2,140,000 of proposed equity escrow plus $8,200,000 of land at acquisition cost) as 14.20% of the as-completed appraised value of $72,800,000, below the 15% threshold ($10,920,000), and concludes that the loan will be classified as HVCRE with a 150% risk weight, accepting a $580,000 shortfall.

Analysis. The 12 C.F.R. Part 3 definition of "contributed capital" measures capital contributed by the borrower; borrowed funds, including mezzanine debt, are not contributed capital. If, as the Borrower's Detailed Budget (line 1.01) indicates, the land was funded by mezzanine loan proceeds, then genuine contributed capital is at most $2,140,000 — **2.94%** of as-completed value — and the shortfall to the 15% threshold is approximately $8,780,000, not $580,000. Even on the Credit Memorandum's own figures the loan is an HVCRE exposure, so the classification conclusion is unchanged; what changes is the credibility of the analysis and the feasibility of any future attempt to cure it.

Open. The actual source of the land funding (D-4) and the Lender's regulatory reporting treatment.

Recommendation. Correct the analysis once the source-of-funds work in D-4 is complete, and do not present the $580,000 figure to the Committee as

the size of the HVCRE problem. If avoiding HVCRE classification matters to the Lender, the route is genuine equity, which is the same route that cures A-2 and B-2.

6. TITLE, SURVEY AND SITE DESCRIPTION

B-1 | The record describes the site's geometry in three incompatible ways

Record. (a) **Street orientation and parcel adjacency.** The two metes-and-bounds descriptions in Schedule A, Item 6 of the Title Commitment each begin at an iron pipe in the "eastern right-of-way margin of Foster Street" and run from there easterly, so both parcels front Foster Street on their **western** boundary; Parcel 2 begins at the "southwestern corner of Parcel 1" and runs south, so Parcel 2 lies **south** of Parcel 1. The Appraisal §2 agrees ("approximately 420 feet of frontage along Foster Street on the western boundary"). The Phase I ESA §2.1 and §1, by contrast, state that the site "fronts Foster Street to the **north**", describe Parcel 2 as "the eastern parcel", and locate the affected area in the northeast corner of Parcel 2 "bounded by Foster Street to the north". (b) **Frontage.** The Appraisal reports approximately 420 feet; the metes and bounds produce 298.62 + 201.88 = **500.50 feet**. (c) **Acreage.** The Title Commitment allocates **2.09** and **1.38** acres (confirmed by the metes and bounds: 91,202 sq ft = 2.094 acres and 60,086 sq ft = 1.379 acres); the Phase I ESA allocates **1.89** and **1.58** acres. The combined 3.47 acres agrees; the parcel-by-parcel split does not. (d) **Restricted Area dimensions.** The Phase I ESA §4 describes the remediated area as approximately 100 feet by 165 feet (0.379 acres); its own Figure 3 describes the affected area as extending approximately 125 feet by 130 feet (0.373 acres).

Analysis. The restricted area is defined by reference to a corner of a parcel, and the record cannot agree which corner or which parcel. Under the title geometry the "northeast corner of Parcel 0821-04-72-4102" is an interior point on the eastern boundary line roughly 300 feet east of Foster Street, not a street corner; under the Phase I ESA's orientation it abuts Foster Street. That difference determines where the vapour mitigation system must be installed, which units sit above it, what the recorded deed notice must describe, and whether the groundwater flow and neighbouring-use assumptions in the Phase II work are right. Because the ALTA/NSPS survey is still outstanding (Credit Memorandum §13: "To be obtained — Pending"), nothing in the record resolves it.

Open. The survey; the Phase II delineation figure; the site plan drawing set dated September 12, 2024; the parcel mapping in the Durham County GIS.

Recommendation. Do not permit the deed notice to be recorded, the vapour mitigation design to be finalised or the Deed of Trust to be recorded until the Survey has been delivered and the environmental delineation has been tied to metes and bounds on it. Require the Architect and Sentinel to confirm jointly, in writing, the location of the restricted area relative to the

building footprint. Draft §4.1(i), Schedule 1 and Drafting Note 15 implement this.

B-2 | The $3,400,000 Existing Mortgage has no source of funds in the record

Record. Title Commitment Schedule B-I, Requirement 4, requires satisfaction and release of the deed of trust recorded in Book 6215, Page 892, Durham County Registry, dated September 14, 2018, securing an original indebtedness of **$3,400,000** in favour of Triangle Commercial Bank, on pain of the policy being issued subject to Special Exception 10. The title officer notes that Borrower's counsel advised on November 22, 2024 that the indebtedness "has been partially repaid" and that the "remaining outstanding balance will be satisfied in full at or prior to closing from the Borrower's own funds or from closing proceeds", and that the Company "has not independently verified the outstanding balance". Credit Memorandum §9.7 records the amount as $3,400,000 and states that it "will be satisfied at closing from the proceeds of the senior construction loan or from borrower funds". Term Sheet §5.1 and §5.2 and Credit Memorandum Appendix C contain no line item for it in either sources or uses.

Analysis. Three separate problems. First, the amount is unverified: the Title Commitment records a partial repayment, so $3,400,000 is likely to overstate the payoff. Second, there is no source: the senior Loan is fully committed to the Approved Budget, the mezzanine loan is fully committed to land and $1,000,000 of developer fee, and the Borrower has zero cash equity. Third, the structure is unclear: the deed of trust was granted by Foster Street Properties LLC in 2018 — before the Borrower acquired title by Special Warranty Deed dated June 12, 2023 — so the Lender needs to know whether the Borrower assumed the debt or took subject to it, and whether the $8,200,000 "land cost" is inclusive or exclusive of the assumed liability. If it is an assumed debt, the Borrower's net land equity is approximately $5,500,000 ($8,900,000 as-is value less $3,400,000), not $8,200,000, and the capital stack is worse than every document states.

Open. A current payoff letter (with per diem); the 2023 acquisition documents; confirmation of assumption versus purchase subject to.

Recommendation. Obtain the payoff letter before the Loan Amount is fixed; add the payoff as a use in the Approved Budget; fund it from verified equity (which also assists A-2); require simultaneous recording of the cancellation and the Deed of Trust; and confirm that the title policy will be issued without Special Exception 10. Draft §4.1(h), §14.3, Schedule 2 (Exception 10) and Drafting Note 16 do this.

B-3 | The Title Commitment is internally inconsistent about who granted the Existing Mortgage, and expires before any likely closing extension

Record. Schedule B-I, Requirement 4 describes the Existing Mortgage as "from Harborview Capital Partners LLC (as successor-in-title to Foster Street Properties LLC, the original grantor)". Schedule B-II, Exception 10 describes it as "from Foster Street Properties LLC (predecessor-in-title to the current vested owner, Harborview Capital Partners LLC)". The commitment expires on **June 5, 2025** (Note 1) unless extended by endorsement.

Analysis. The first description implies the Borrower is the grantor; the second says the seller was. The distinction matters for B-2 (assumption versus subject-to) and for any affidavit of no liens. Separately, a closing on February 28, 2025 is within the commitment period, but any extension of the closing date beyond June 5, 2025 requires a written extension, which is not provided for in the Term Sheet.

Open. Confirmation from the Title Company of the grantor and of the recording particulars of any assumption agreement.

Recommendation. Require the Title Company to correct the inconsistency in writing before closing; require a date-down at closing and again after the first advance (B-9); and add a covenant requiring the Borrower to obtain any extension of the commitment at its own cost if closing is delayed. Draft §4.1(g), §4.2 and §14.2.

B-4 | The NCDEQ land use restriction is not disclosed in the Title Commitment at all

Record. The Phase I ESA §7, Condition 4, requires a deed notice "within 60 days of the date of the NFA Letter — that is, by November 29, 2024", describing the restricted area, the contamination and the non-residential use restriction; the consultant states that it "was not provided evidence that the required deed notice has been recorded". The Appraisal §8 states that "[t]his land use restriction is memorialized in a Declaration of Land Use Restrictions recorded at the Durham County Register of Deeds". Schedule B-II of the Title Commitment (effective December 5, 2024) lists thirteen exceptions and contains **no** reference to any deed notice or declaration of land use restrictions; Note 5 expressly excludes environmental matters from coverage.

Analysis. One of two things is true, and they have opposite consequences. If the instrument was recorded, the Title Commitment failed to disclose a recorded encumbrance that materially restricts use of part of the Property — a title examination failure that must be corrected, the instrument added to the Permitted Exceptions, and an endorsement obtained. If it was not

recorded, the Borrower is in breach of a condition of the NFA Letter, the NFA determination is at risk, and the Borrower has been in breach since November 29, 2024 — a pre-existing Event of Default at closing. The Credit Memorandum does not mention the deed notice at all.

Open. A title rundown for the period from November 29, 2024; the Borrower's recording evidence; NCDEQ's position if the deadline has passed.

Recommendation. Require, as a condition to closing: the recorded instrument (or a NCDEQ letter confirming that the NFA remains in effect notwithstanding the delay), its addition to Schedule 2 as a Permitted Exception, and an ALTA 8.1 environmental protection lien endorsement together with (if available) a land use restriction endorsement. Add a covenant to record the notice immediately if it has not been recorded and to deliver proof of recording. Draft §4.1(e)(iii), §13.2(d), Schedule 2 (Exception 14) and Drafting Note 12.

B-5 | Architectural review approval is assumed by the Appraisal, missing according to the Title Officer, and required by the Credit Memorandum

Record. The Appraisal §2 states that "the architectural design has been reviewed and approved by the Brightleaf Historic District Association in accordance with the CC&Rs". The Title Officer's note to Special Exception 11 states that "the Company has not received evidence that the current project plans … have been submitted to or approved by the Brightleaf Historic District Association Architectural Review Committee", and describes the Association's right to seek injunctive relief to halt unapproved construction. Credit Memorandum §9.8 and condition 10.1.14 require evidence of approval or waiver as a closing condition. The Declaration (Exception 11(d)) requires submission not fewer than **90 days** before the anticipated commencement of construction and conditions the building permit on approval or the expiry of a 60-day deemed-approval period.

Analysis. This is not only a covenant question: if the City will not issue a building permit without approval (or deemed approval), construction cannot lawfully begin at closing, and the 90-day submission period means that a submission made now would not support a February 28, 2025 start. The record does not establish that any submission has been made. The Appraisal's assumption that approval has been obtained is unsupported and is repeated in the Lender's own file.

Open. The ARC submission date, the ARC's response, and the City's permit sequencing.

Recommendation. Make evidence of ARC submission and approval (or expiry of the deemed-approval period, or a written waiver) a hard closing

condition, and require the Borrower to deliver copies of all ARC correspondence. Confirm with the City of Durham that no permit will issue without it and re-base the construction start date accordingly. Draft §4.1(k), §20.3, Schedule 2 (Exception 11) and Drafting Note 22.

B-6 | The CC&R assessment and the Association's injunctive rights are not reflected in the underwriting or the covenants

Record. Title Commitment Exception 11(b): assessments of $0.12 per square foot of gross building area per annum, subject to annual adjustment. Exception 11(e): the Association and any affected owner may seek injunctive relief, including to halt construction that has not received ARC approval. Neither Term Sheet §13 nor Credit Memorandum §10.3 contains any covenant to pay the assessment or to comply with the declaration.

Analysis. The assessment is an operating expense omitted from the Appraisal (A-8) and a lien risk if unpaid (the declaration's enforcement mechanism is not in the record). The injunctive right is a construction-completion risk that no Loan Document addresses: an unapproved change of exterior finish could stop work, with a Completion Guaranty already engaged.

Open. The full text of the declaration (including whether unpaid assessments become a lien, and whether the Association's consent is required for any collateral assignment).

Recommendation. Add express covenants to comply with the declaration, to pay assessments when due, and to obtain ARC approval before any exterior modification (Draft §9.1(q) and §20.3); add the declaration to the Permitted Exceptions in the qualified form in Draft Schedule 2; require the Borrower to deliver the full recorded declaration and the current assessment notice; and require the Lender's consent to any plan change that would require ARC approval (Draft §6.4(c)).

B-7 | The Appraisal relies on a 20-foot alley that does not appear in title

Record. Appraisal §2: "Secondary vehicular access is available from a 20-foot public alley along the eastern boundary of the site … The proposed site plan incorporates a primary vehicular entrance from Foster Street and a secondary entrance and loading/service access from the public alley to the east." Neither legal description in the Title Commitment refers to an alley; Schedule B-II discloses no access easement other than the Duke Energy and City stormwater easements.

Analysis. Loading and service access is a code requirement for a mixed-use building with 18,400 square feet of retail. If the alley is a dedicated public right-of-way it is not an exception to title and the absence of a title reference

is not itself a problem — but the survey must confirm it, and the record contains no confirmation. If it is a private easement, it must appear in title and be insured. If it does not exist as a legal right of access, the site plan cannot be built as appraised and the retail leasing assumptions are affected.

Open. The Survey; the City's right-of-way map; the site plan.

Recommendation. Require the Survey to depict the alley and to state whether it is a public right-of-way or an easement of record; require an access endorsement to the Title Policy covering both Foster Street and the alley; and add any recorded access easement to Schedule 2. Draft §4.1(i)(iv), §4.2(ii) and Schedule 2 (Exception 15).

B-8 | Work performed before closing creates a mechanic's lien priority risk

Record. Demolition was completed in August 2024 and environmental remediation in September 2024 (Phase I ESA §2.2, §6); the site is "graded and secured with temporary construction fencing" and utilities have been "stubbed to the property boundaries" (§2.1). The Borrower's Detailed Budget line 2.01 includes $3,180,000 for "Site work — demolition, grading, utilities, paving". Title Commitment Note 4 records that under N.C.G.S. §44A-10 a claim of lien relates back to the first furnishing of labour or materials, and recommends an owner's and contractor's affidavit of no prior work and appropriate waivers. Standard Exception 4 (mechanics' liens not shown by the public records, including under N.C.G.S. Chapter 44A) cannot be deleted.

Analysis. Because work was performed on the site months before the Deed of Trust will be recorded, a claimant unpaid for that earlier work could assert a lien that relates back and primes the Lender. The Approved Budget also appears to charge the same demolition work again within the guaranteed maximum price, which raises both a double-funding question and a question about whether the Contractor has already performed work.

Open. Who performed the demolition, the site clearing and the utility stubbing; whether they have been paid; whether the Contractor's GMP contract includes work already performed; and the status of the lien agent designation.

Recommendation. Obtain (a) an owner's affidavit and a contractor's affidavit that no work has been performed under the Construction Contract before recording, (b) unconditional statutory waivers and evidence of payment from the demolition, site work and remediation contractors (including Sentinel Environmental Consulting LLC), (c) a lien agent designation under N.C.G.S. §44A-11.3 with the lien agent information on the permit and, where required, the Deed of Trust, and (d) a date-down

endorsement immediately after the first advance. Draft §4.1(m), §9.1(n) and Drafting Note 15(f).

B-9 | The survey and several endorsements required by the transaction are still outstanding

Record. Term Sheet §11 and §18 require an ALTA/NSPS survey satisfactory to the Lender and the title company; Title Commitment Schedule B-I, Requirement 5 requires a 2021 ALTA/NSPS survey (with Table A items) dated or re-certified within 90 days of closing. Credit Memorandum §13 lists the survey as "To be obtained — Pending". The Title Commitment proposes only a Loan Policy in the amount of $47,500,000 with standard and special exceptions; no endorsements are specified in any document.

Analysis. The survey is the single document on which B-1, B-7 and the restricted-area delineation all depend, and it does not exist. The endorsements that a construction lender customarily requires (comprehensive, access, contiguity, zoning, survey, same-as-survey, usury, variable rate, environmental protection lien, and an endorsement insuring future advances) are not addressed anywhere in the record.

Open. Delivery of the survey and confirmation from the Title Company of the endorsements it will issue in North Carolina.

Recommendation. Require the survey and a marked-up title commitment showing all scheduled endorsements as conditions to closing, and specifically require the ALTA 8.1 environmental protection lien endorsement and an endorsement insuring advances made after the policy date. Draft §4.1(i) and §4.2 list them; the Lender's counsel should confirm availability before closing.

7. ENVIRONMENTAL MATTERS

C-1 | The NFA Letter has four conditions; the Term Sheet describes one and the Credit Memorandum two

Record. The Phase I ESA §7 records the NFA Letter dated September 30, 2024 as conditional upon (1) a soil vapour mitigation system beneath any enclosed structure over the affected area, with as-built drawings and a performance verification report to NCDEQ within 90 days of completion of the building foundation; (2) restriction of the affected approximately 0.38 acres to non-residential use; (3) a NCDEQ-approved **soil management plan** before any subsurface disturbance in the affected area; and (4) a **deed notice** recorded within 60 days. Term Sheet §17 refers only to the vapour system and states that the NFA letter "authorizes commercial use of the affected area … conditioned on the installation and maintenance of a soil vapor mitigation system". Credit Memorandum §8.2 and §9.5 describe two conditions (vapour system and land use restriction).

Analysis. Both the Term Sheet and the Credit Memorandum omit the soil management plan and the deed notice from the conditions the Borrower is required to satisfy and the Lender is required to monitor. The Borrower's obligations in the Loan Agreement would therefore be narrower than its obligations to NCDEQ, which means the Lender could have no contractual remedy for the two most likely breaches. This is a straightforward gap between the regulatory instrument and the finance documents and should be closed.

Open. The NFA Letter itself (only summarised in the record) and any subsequent NCDEQ correspondence.

Recommendation. Reproduce all four conditions in the Loan Agreement as affirmative covenants with compliance as an Event of Default, add a compliance schedule to the reporting requirements, and make satisfaction of each a condition to closing (or, for the vapour system, to the relevant advance and the retainage release). Draft §13.2, §13.5, §16.1(k), Schedule 7 and Drafting Note 12.

C-2 | The deed notice appears to be overdue

See **B-4**, which analyses the same facts from the title perspective. From the environmental perspective the point is narrower: the deadline was **November 29, 2024**, the Phase I ESA recorded non-recording as of October 28, 2024, and nothing in the record shows that it was later recorded or that NCDEQ has been asked to extend or forgive the deadline. An unrecorded deed notice is a present breach of a condition of the Borrower's NFA determination, and the Lender should not accept a representation that it has been recorded without a certified copy of the recorded instrument.

Recommendation. Obtain the recorded instrument or a written NCDEQ response before closing; if the deadline has been missed, require an application to NCDEQ for confirmation that the NFA remains effective, and consider whether the Borrower's failure should be treated as an Event of Default waived only by the closing. Draft §13.2(d) and §4.1(e)(iii).

C-3 | The claim that 14 residential units sit above the restricted area is unsupported, and the exposure is material

Record. Credit Memorandum §8.2 and §9.5 assert as fact that the plans "position 14 residential units in the building above this area". The Phase I ESA §8.5 states that the consultant "did not independently verify whether any residential units would be positioned directly above the affected 0.38-acre area … as this determination requires a detailed overlay of the proposed building floor plans with the environmental delineation map". The Appraisal §8 states that the plans "include residential units on the upper floors … positioned above this area", expresses "no opinion as to the legal permissibility", and made no valuation adjustment. Term Sheet §17 makes no reference to any unit conflict at all. The figure "14" does not appear in any document other than the Credit Memorandum, and corresponds to the number of three-bedroom units in the unit mix.

Analysis. The Credit Memorandum's own sensitivity is that losing 14 units reduces NOI by $377,160 (14 × $2,245 × 12) to $4,499,640 and reduces the DSCR to 1.21x, below the 1.25x covenant. That analysis is arithmetically correct and establishes that the issue is material if it exists. But the record does not establish that it exists, and the Lender is at risk of two errors simultaneously: assuming a conflict that does not exist (and demanding a redesign that is unnecessary), or accepting a representation that there is no conflict on the basis of documents that expressly decline to confirm it. The NFA Letter's restriction is on *land use of the affected area*; whether enclosed residential space above grade-level restricted soil is a prohibited "residential use" of the affected area is a question for NCDEQ and North Carolina environmental counsel, not for the Lender or the appraiser.

Open. The Architect's overlay of the approved plans on Figure 3 of the Phase I ESA; NCDEQ's interpretation; the number and type of units actually affected.

Recommendation. Require the Architect's overlay before closing, and require one of three resolutions as a closing condition: (a) a written NCDEQ modification permitting residential use of the affected area (which the Phase I ESA warns "would likely require additional environmental investigation, risk assessment, and potentially additional remediation"); (b) written NCDEQ confirmation that residential occupancy of space above the restricted area is permissible with the vapour system installed and operating; or (c) an approved redesign. Require an addendum to the

Appraisal addressing value without the affected units, and withhold advances for work in or above the affected area until the point is resolved. Draft §4.1(e)(vi), §13.4, §13.4(d)–(e) and Drafting Note 13.

C-4 | The soil management plan is a pre-construction condition that no document requires

Record. Phase I ESA §7, Condition 3: any excavation, grading or soil disturbance in the affected area must follow a NCDEQ-approved soil management plan, which "must be submitted to and approved by NCDEQ prior to commencement of any construction activities involving subsurface disturbance within the affected area". Recommendation 4 of the Phase I ESA advises that the plan be incorporated into the construction specifications and made available to the Contractor and subcontractors. Neither the Term Sheet nor the Credit Memorandum requires it.

Analysis. Foundation and site work will begin at or immediately after closing. If the plan is not approved by then, work in the affected area cannot proceed lawfully, and the Borrower will be in breach of the NFA Letter on the first day of construction. The Phase I ESA notes that residual concentrations above residential screening levels remain along the eastern boundary at 10 to 14 feet below grade, so the plan is not a formality — it governs screening, stockpiling, disposal and worker protection in the area where the Contractor will be excavating.

Open. Whether a plan has been drafted, and NCDEQ's approval timeline.

Recommendation. Make NCDEQ approval of the soil management plan a condition to closing (or, at the latest, to the first advance in respect of site work), incorporate it into the Construction Contract by change order, and make compliance a condition to each advance in the affected area and an Event of Default if breached. Draft §4.1(e)(iv), §13.2(c), §13.5 and §9.1(l).

C-5 | The vapour mitigation system is more prescriptive than the documents describe and its cost is not separately identified

Record. Phase I ESA §7, Condition 1: the system must be a **passive sub-slab depressurization system with the capability of conversion to an active depressurization system**, designed by a professional engineer licensed in North Carolina, installed in accordance with NCDEQ guidelines, with as-built drawings and a performance verification report submitted within 90 days of completion of the building foundation. The soil gas results show benzene at 185 µg/m³ against a residential vapour intrusion screening level of 31 µg/m³ — approximately six times the screening level. Term Sheet §17 refers only to "a soil vapor mitigation system in the parking garage structure". Detailed Budget line 2.08 ($3,590,000, parking structure) notes only that it "Includes soil vapor mitigation system per NCDEQ NFA requirements"; there is no separate cost.

Analysis. The system must be designed and durably maintained, with a conversion capability that implies ongoing monitoring and a possible future capital cost. Because it sits inside a single budget line, the Lender cannot test the adequacy of the amount allowed, and it cannot identify any reduction if the scope is later value-engineered. The 90-day reporting period also creates a compliance milestone shortly after foundation completion that no document tracks.

Open. The engineer's design and budget for the system; whether the Contractor's GMP price includes the conversion capability and the verification report.

Recommendation. Require the design to be included in the Approved Plans and the GMP contract, require a separate breakdown of the system's cost in the Approved Budget, prohibit any change order affecting it without the Lender's consent and NCDEQ approval, require annual inspection and testing with results delivered to the Lender, and add the 90-day NCDEQ submission to the reporting schedule and to the Release Conditions. Draft §13.3, §6.4(a)(iii), §6.7(f) and Schedule 7.

C-6 | The record gives three different accounts of the underground storage tank

Record. Phase I ESA §1 and §2.2: a **2,000-gallon diesel** tank installed approximately **1972** for a backup generator, "reportedly decommissioned and removed in approximately 1998", with no formal closure records located. Appraisal §8: "the UST was originally installed in the **1950s** … used for the storage of **heating oil** … had not been in active use since approximately **1988**".

Analysis. Category of product, installation date and removal date are all in conflict, and no closure documentation exists. For a lender this matters in two ways: the discrepancy suggests the Appraisal relied on a different (and older) environmental source than the Phase I ESA, which undermines the Appraisal's environmental section; and the absence of closure records is a data gap on which a future purchaser, tenant or regulator could focus.

Open. The remediation completion report, the Phase II report and any Durham County Fire Marshal or NCDEQ UST Section records.

Recommendation. Require the Appraisal's environmental section to be corrected or removed (the appraiser is not an environmental consultant and states so); rely on the Phase I and Phase II reports; and address the data gap through the pollution legal liability policy required by C-10. Draft §4.1(f) and Drafting Note 14.

C-7 | The remediation volume and cost are stated three ways, and the cost is excluded from the project budget

Record. Volume of impacted soil excavated: approximately **1,200 cubic yards** (Phase I ESA §6.1, which also records 45,000 gallons of groundwater treated and discharged under a temporary NPDES permit); **340 cubic yards** (Credit Memorandum §8.2); **320 cubic yards** (Appraisal §8). Cost: approximately **$485,000**, "funded by Harborview Capital Partners LLC" (Phase I ESA §6.3); demolition and remediation together approximately **$680,000** (Appraisal §6.1). The Approved Budget contains a single forward-looking line of **$185,000** for "Environmental & Geotechnical" (Detailed Budget 3.05) and no line for amounts already spent.

Analysis. The remediation evidently cost substantially more than the Credit Memorandum's figure implies, and none of the pre-closing spend appears in Total Project Costs of $56,700,000. If capitalised project costs are in truth $57,380,000 rather than $56,700,000, both LTC and the Borrower's equity contribution change — in this case LTC improves slightly (47,500,000 ÷ 57,380,000 = 82.8%) but the "zero equity" conclusion in A-3 and the HVCRE analysis in A-11 become worse, because the spend was funded by the Borrower from borrowed money.

Open. The remediation completion report and invoices; how the spend was funded.

Recommendation. Reconcile the volume and cost to the completion report; add all pre-closing costs to Total Project Costs and to the uses, with an identified source of funds (A-2); correct the Credit Memorandum's figures; and require the Borrower's certification identifying how the $485,000 was funded. Draft Schedule 3, §1.1(yyy) and Drafting Note 14.

C-8 | Pre-closing costs are excluded from Total Project Costs

This is the arithmetic consequence of C-7 and is described there and at A-2. Recorded separately because it affects three calculations rather than one: the LTC ratio, the HVCRE contributed capital calculation (A-11) and the "equity first" requirement (E-7). **Recommendation:** include the costs in Total Project Costs and fund them from verified equity.

C-9 | The Phase I ESA expires for AAI purposes on April 26, 2025, and the Phase II report has not been delivered

Record. Phase I ESA §9 and Recommendation 7: the assessment satisfies the All Appropriate Inquiries rule as of October 28, 2024 and has a shelf life of 180 days, expiring **April 26, 2025**; if closing occurs later, an update is required. §11 limits the consultant's aggregate liability to the professional fee "which was approximately $12,500". Appendix G (the reliance letter in favour of the Lender) is referenced but not included in the excerpt. The

Phase II report (SEC-2024-1089) is referenced throughout but not in the file; the Phase I ESA includes only a summary. Term Sheet §11 requires "related Phase II investigation results, satisfactory to the Lender". The ESA's reliance-party address for the Lender is given as "200 South Tryon Street" rather than 215 South Tryon Street.

Analysis. The AAI defence (and therefore the Lender's protection as a secured creditor taking a security interest in contaminated land) depends on a current Phase I ESA and on the consultant's reliance letter running to the Lender. The 60-day window between the current expiration date and a delayed closing is short. The liability cap means the reliance letter has limited value; the Lender should not treat Sentinel's work as a warranty.

Open. The reliance letter; the full Phase II report; the Phase I ESA update if closing slips.

Recommendation. Make delivery of the full Phase II report and a reliance letter in favour of the Lender (with the Lender's correct address) a closing condition; add a covenant requiring a Phase I update at the Borrower's cost if closing occurs after April 26, 2025; and make the pollution legal liability policy (C-10) the primary risk transfer rather than the consultant's reliance letter. Draft §4.1(e)(i), §4.1(f) and Drafting Note 14.

C-10 | Consider whether pollution legal liability insurance should replace the consultant's liability cap

Record. Phase I ESA, Recommendation 6: "The Client and the Lender … may wish to evaluate the merits of obtaining a pollution legal liability ('PLL') insurance policy" to cover the cost of obtaining an NFA modification, additional remediation, third-party claims and unknown conditions. No PLL policy is required by the Term Sheet or the Credit Memorandum. The Phase I ESA classifies the condition as a **REC** rather than a CREC precisely because the NFA conditions have not been fully implemented.

Analysis. The Lender is asked to take collateral subject to a conditional NFA that depends on four unperformed conditions, where the consultant's liability is capped at $12,500 and the title policy excludes environmental matters (Title Commitment Note 5). A PLL policy is the conventional way to transfer that risk, and it also covers the cost of the NFA modification that C-3 may require. The premium is not in the Approved Budget.

Open. Cost and availability of PLL coverage for a petroleum REC with a conditional NFA; whether the Lender's policy requires it.

Recommendation. Require a PLL policy (or an equivalent remediation cost cap) of not less than $2,000,000 per claim and in the aggregate, naming the Lender as additional insured and loss payee, maintained while the land use

restriction remains of record, with the premium funded by the Borrower outside the Loan. Draft §4.1(f), §13.6 and Schedule 5.

C-11 | Residual contamination remains along the eastern boundary, constrained by a sanitary sewer main

Record. Phase I ESA §6.1: confirmation sampling showed residual contamination remains in situ below non-residential screening levels “throughout the excavation area”, but above residential screening levels “in certain areas at depths of 10 to 14 feet below grade, particularly along the eastern boundary where excavation was limited by the proximity of the adjoining property and critical underground utility infrastructure (a 12-inch sanitary sewer main and associated service laterals)”. §5.3: dissolved benzene was detected in MW-02 at 0.8 µg/L against a 2L groundwater standard of 1.0 µg/L; post-remediation monitoring showed all dissolved constituents below 2L standards.

Analysis. Three points follow. The remaining contamination is where future utility work, landscaping or foundation activities are most likely to occur, which is why the soil management plan matters (C-4). A 12-inch sanitary sewer main along the eastern boundary does not appear in the Title Commitment’s Schedule B-II; if it is a public main in an unrecorded easement or in the public right-of-way, the Lender should confirm both its location and its maintenance obligations, because the Survey will show it and a title exception may be required. And the groundwater results, while compliant, are one monitoring round away from a different conclusion, which supports voluntary monitoring.

Open. The utility location from the Survey; the City’s sewer easement documentation.

Recommendation. Require the Survey to depict the sewer main and any easement; require a title exception or an endorsement covering it; require compliance with the soil management plan for any work within the affected area; and consider requiring voluntary annual groundwater monitoring as a covenant (Draft §13.1 and §13.3). Draft Note to Schedule 1 records the geometry point.

8. STRUCTURE, SINGLE-PURPOSE ENTITY AND INTERCREDITOR

D-1 | Both loans are secured by a pledge of 100% of the membership interests and no intercreditor agreement exists

Record. Term Sheet §1.4: the mezzanine loan "shall be secured by a pledge of 100% of the membership interests in the Borrower"; an intercreditor agreement "is currently under negotiation and must be executed prior to or simultaneously with the closing". Term Sheet §8 lists a senior pledge of 100% by all members. Org chart §1.2 and §2.5 state that the mezzanine pledge is in place and that the intercreditor agreement has been "negotiated but is not yet executed". Credit Memorandum §4.2, §9.4 and condition 10.1.3 recommend "option (b)": senior first, mezzanine second, with a 90-day standstill, cure rights, a purchase option and bankruptcy protections.

Analysis. Two first-priority pledges of the same collateral cannot both exist. Until the intercreditor agreement is executed there is no mechanism for determining priority, and in an insolvency the dispute itself would delay the Lender's remedies. The record is also silent on perfection: a pledge of LLC interests is perfected by control (delivery of certificates with transfer powers, or a control agreement for uncertificated interests) or by filing, and the operating agreement does not address certifications.

Open. Whether certificates have been issued; whether the mezzanine pledge has already been perfected; the draft intercreditor agreement.

Recommendation. Make execution of the intercreditor agreement on the Credit Memorandum's terms a hard closing condition (not waivable); require the senior pledge to be perfected by delivery of certificates, an undated transfer power and an irrevocable proxy, with a UCC-1 in any event; and require the operating agreement amendment described in D-2. Draft §14.4, §14.5 and §4.1(q).

D-2 | The operating agreement requires a 75% member vote for the Loan itself and permits pledges only with the managing member's approval

Record. Org chart §2.2 (operating agreement §3.2): the prior written approval of members holding at least **75%** of the membership interests is required for "any financing or refinancing of the Property in a principal amount in excess of $1,000,000", "any amendment to this Operating Agreement" and "any voluntary dissolution of the Company or the filing of any petition for relief under any federal or state bankruptcy or insolvency law". §9.1: no member may pledge its interest without the prior written consent of the managing member and members holding at least 75%.

Analysis. The senior Loan itself requires a 75% member approval, and so do the amending and restating of the operating agreement (needed for the SPE

covenants and the independent manager) and the express authorisation of the senior pledge. On the ownership percentages (62% / 28% / 10%), Ms. Vasquez-Torres and Mr. Osei together hold only 72% — so **Brightleaf Investors Group LLC's vote is required for every one of them**. That entity is the affiliate of the Mezzanine Lender (D-3). The Lender is therefore relying on the party with the adverse interest to consent to the protections that constrain it.

Open. Whether written consents have been obtained and whether Brightleaf has conditioned its consent on anything.

Recommendation. Require executed written consents of all three members to the Loan, the pledge, the operating agreement amendment and the SPE and independent manager provisions, delivered at closing, and require the amendment to be filed and effective before the Deed of Trust is recorded. Draft §4.1(c)(iii) and §4.1(c)(ii).

D-3 | A 28% member received its interest for no cash in exchange for arranging the mezzanine loan from its own affiliate

Record. Org chart §2.3 (operating agreement §5.1(b)): Brightleaf Investors Group LLC "shall make an initial capital contribution of Zero Dollars ($0) at the time of formation" and receives a **28%** membership interest "in consideration of its commitment to arrange third-party mezzanine financing for the Project". Org chart §2.3: the mezzanine financing was arranged through Brightleaf Mezzanine Capital LLC, "an entity under the common control of Thomas R. Chen, who also serves as Managing Member of Brightleaf Investors Group LLC". Credit Memorandum §9.3 identifies the substantive consolidation risk.

Analysis. Three consequences. First, no member other than Ms. Vasquez-Torres (through the land) has contributed capital, which is the premise of D-4. Second, the 28% holder has a negative control over major decisions (D-2) and its affiliate is the subordinated lender, so the same economic interest sits on both sides of the senior loan and controls the borrower's bankruptcy decision. Third, an interest issued for services rather than capital raises questions about the Borrower's true equity and about the arm's-length character of the arrangements, which the Lender should disclose to its credit approvers rather than leave in the file.

Open. The instrument by which the interest was issued; whether any value was ascribed to it; whether Brightleaf's consent to the Loan has conditions.

Recommendation. Require full disclosure of all agreements among the Borrower, Brightleaf, the Mezzanine Lender and Mr. Chen; require the independent manager and non-consolidation opinion (D-5); require the intercreditor agreement to include express acknowledgement of the affiliate

relationship and a prohibition on the mezzanine lender using its affiliate's voting rights to impede the Lender; and require all affiliate transactions to be on arm's-length terms (Draft §14.7, §10.1(f) and §12.4).

D-4 | The record gives three irreconcilable accounts of how the land was funded

Record. (a) Org chart §1.3 and operating agreement §5.1(a): Ms. Vasquez-Torres contributed the land "originally acquired … in a transaction funded from her personal resources" at an $8,200,000 cost basis, and Brightleaf and Mr. Osei each contributed "$0 cash to date". (b) Credit Memorandum §2.2: the land "was acquired by Ms. Vasquez-Torres on behalf of the Borrower through capital calls from all three members, including Brightleaf Investors Group LLC". (c) Detailed Budget line 1.01 (and its "Notes" column): the land was "Previously closed; funded by **mezzanine loan proceeds** and member capital calls", with the $8,200,000 shown in the "Funded by Mezzanine Loan" column and $0 in the "Funded by Borrower Equity" column.

Analysis. The three accounts are mutually exclusive. The Borrower's own budget allocates the land to the mezzanine column. If that is correct then (i) the Borrower has contributed no equity at all, (ii) the $9,200,000 mezzanine loan is applied $8,200,000 to land and $1,000,000 to developer fee — that is, entirely to items that are not construction costs — (iii) the "land as equity" premise in Term Sheet §5.1 and Credit Memorandum §5.1 is false, (iv) the LTC and LTV analyses rest on a capital structure that does not exist, (v) the HVCRE calculation in A-11 is wrong by an order of magnitude, and (vi) the equity-first requirement in E-7 has nothing to apply. The Credit Memorandum itself raises "circular funding" as a possibility; the Borrower's budget effectively confirms it.

Open. Bank statements, wire confirmations and capital call notices; the closing statement for the 2023 acquisition; the Mezzanine Loan's disbursement history.

Recommendation. This should be resolved before the Loan Amount, the LTC covenant and the intercreditor terms are fixed. Require a traced source of funds for not less than 90 days, executed capital call notices, and a managing member certificate; and provide in the Loan Agreement that if any portion of the Borrower's asserted equity traces to the mezzanine lender or its affiliates, the Commitment reduces dollar-for-dollar and the shortfall must be funded with new equity. Draft §7.6(c) and §14.6.

D-5 | The independent manager and non-consolidation opinion are Credit Memorandum conditions that the Term Sheet does not contain

Record. Term Sheet §20 contemplates "the potential appointment of an independent manager or independent director … whose affirmative vote shall be required" as a matter the Lender "may require". Credit Memorandum §9.3(b)–(c) and condition 10.1.4 make the independent manager and the non-consolidation opinion mandatory closing conditions. Org chart §1.1 and §2.2 confirm that the operating agreement contains neither separateness covenants nor an independent manager.

Analysis. These are new obligations for the Borrower, not merely documentation of agreed terms, and they require a 75% member vote to implement (D-2). They are, however, the single most effective structural protection against the affiliate-controlled bankruptcy risk described in D-3, and the Lender should not proceed without them. The point to manage is expectation: the Borrower may object that the Term Sheet made them discretionary.

Open. Whether the Borrower has agreed; the identity and independence of the proposed independent manager.

Recommendation. Present the requirements as conditions of the credit approval rather than as new demands, require the operating agreement to be amended and effective at closing, vet the independent manager's independence against the criteria in Draft §12.4(a), and obtain the non-consolidation opinion from Calloway & Strauss. Draft §12.2 to §12.5 and §4.1(r).

D-6 | The mezzanine loan's payment mechanics and maturity do not work with the senior loan's extension option

Record. Term Sheet §1.4: the mezzanine loan bears a fixed 12.50%, and its maturity is "coterminous with the maturity of the senior Loan described herein, including any extension period". Credit Memorandum §4.4: interest is paid in kind during construction and in cash during the mini-perm. Term Sheet §3.2 and Article 21: one six-month extension of the senior mini-perm, subject to conditions to be set in the Loan Agreement.

Analysis. Two issues. The economics are addressed at A-10. The structural issue is that the senior extension is worthless to the Lender if it depends on the mezzanine loan extending — because the mezzanine lender can withhold its consent, and it will have every incentive to do so if the Project cannot pay it (A-10). The intercreditor agreement must therefore either effect the extension automatically or bind the mezzanine lender to extend on the same terms.

Open. The mezzanine lender's extension mechanics and its consent rights over senior amendments.

Recommendation. Require the Intercreditor Agreement to provide that the mezzanine maturity automatically extends with the senior loan on the same terms, without further consent, and that any failure to extend constitutes a default under the Intercreditor Agreement entitling the Lender to exercise its remedies. Draft §14.5(b)(viii) and §21.2(g).

D-7 | Perfection of the membership interest pledge is not addressed

Record. Term Sheet §8 requires a "Pledge of 100% of membership interests in the Borrower by all members". No document states whether the interests are certificated, whether certificates have been delivered, or whether a UCC-1 has been or will be filed. Org chart §2.5 confirms only that the mezzanine lender "currently holds a pledge".

Analysis. A pledge of LLC membership interests is perfected by control under UCC Article 8 (if the interests are securities) or Article 9 (by filing, or by control if certificated), and the Lender's priority depends on which method it uses and when. If the mezzanine lender has already perfected by control, a later senior pledge may not achieve the first priority the Term Sheet promises, whatever the intercreditor agreement says about contract priority.

Open. The form of the interests and the mezzanine lender's perfection method and date.

Recommendation. Require the operating agreement to provide for certificated interests; require delivery of certificates, an undated transfer power and an irrevocable proxy; require a UCC-1 filing in any event; and obtain the mezzanine lender's confirmation of its perfection method in the intercreditor agreement. Draft §14.4(b)–(c).

9. CONSTRUCTION AND DISBURSEMENT

E-1 | The Term Sheet calls the facility a “single advance facility” while scheduling nine draws

Record. Term Sheet §3.1: “The Loan shall be structured as a single advance facility, with loan proceeds to be disbursed in accordance with the approved draw schedule set forth in Section 9.”

Analysis. The phrase is self-contradictory: a single-advance facility is fully funded at closing, whereas a draw-scheduled construction loan is a single commitment with multiple advances. The distinction is not semantic — it determines whether the Lender has a continuing commitment, whether the unused line fee is payable, whether future advances must be insured by title, and whether a future advance can be withheld on the basis of a default.

Open. None — this is a drafting correction.

Recommendation. Describe the facility as a single committed, non-revolving facility with multiple advances. Draft §2.1 does so and contains a Drafting Note recording the correction (Drafting Note 1).

E-2 | The Construction Maturity Date precedes the projected substantial completion date in every schedule

Record. Term Sheet §3.2: 30-month Construction Period from a February 28, 2025 closing, giving a Construction Maturity Date of **August 28, 2027**; projected substantial completion **August 31, 2027** (Term Sheet §2; Credit Memorandum §3.1; Appraisal §3; Summary sheet of the construction budget). Term Sheet §7.1 requires the Guarantors to guarantee completion “on or before the Construction Maturity Date of August 28, 2027”. Term Sheet §15 treats a delay of more than 90 days behind schedule as a Construction Delay Default. The Borrower’s Draw Schedule dates Draw 8 (Substantial Completion/TCO) to **August 2027** and Draw 9 (retainage release) to **October 2027**, both on or after the maturity date. Credit Memorandum §9.6 identifies the three-day gap.

Analysis. On the record’s own schedule the Borrower cannot satisfy the completion covenant, the Completion Guaranty is breached on the day it is given, and the Loan is scheduled to disburse during the mini-perm period on a construction basis. The Credit Memorandum treats the mini-perm period as a “buffer”, but a buffer that the Borrower enters in default of the completion covenant is not a buffer: it is a default with a 12-month cure period during which the Lender can make no further advances except the retainage release.

Open. The Contractor's contractual completion date under the guaranteed maximum price contract; whether an extension of the construction period is acceptable to the Borrower and to the mezzanine lender.

Recommendation. Extend the Construction Maturity Date to **December 31, 2027** (a four-month buffer over the projected August 31, 2027 completion) and conform the Completion Guaranty, the Construction Delay Default and Schedule 10; alternatively require substantial completion by June 30, 2027 while leaving the maturity date unchanged. Either way, the schedule must show the Loan converting to the mini-perm period only after substantial completion. Draft §1.1(q) (with the alternative bracketed), §5.8, §15.1(a), Schedule 10 and Drafting Note 23.

E-3 | Retainage withheld and retainage released differ by $200,000

Record. Term Sheet §9.1: a 10% retainage holdback on all hard construction cost disbursements, "held by the Lender and released only upon satisfaction of the conditions … for Draw 9". Term Sheet §9.2 and Credit Memorandum §7.1: Draw 9 is $3,275,000. Ten percent of the $34,750,000 guaranteed maximum price is **$3,475,000**.

Analysis. Either $200,000 of retainage is never released (in which case the Contractor will not be paid in full from the Loan and the Completion Guaranty will be engaged for a sum certain), or the difference is being funded from another line, which is not stated. The Credit Memorandum notes that the $3,275,000 "represents approximately 9.4% of the hard construction cost GMP" without observing that the holdback is 10%.

Open. The Contractor's understanding of the retainage and release mechanics.

Recommendation. Provide for Retainage of 10% released in full on the Release Conditions, with the build-up and release computed on the actual contract sum including approved change orders. Draft §6.6, §6.7 and Schedule 4; Drafting Note 7.

E-4 | The draw schedule does not reconcile and the developer fee and contingency have no draw line

Record. Term Sheet §9.2 and Credit Memorandum §7.1 both show nine draws totalling $47,500,000, of which Draw 1 is $9,475,000 (soft costs $4,150,000 + interest reserve $4,850,000 + origination fee $475,000) and Draws 2 to 8 are hard cost amounts totalling $34,750,000, with Draw 9 at $3,275,000. The Borrower's "Draw Schedule" sheet adds columns for hard costs, retainage, soft costs, interest reserve, fees, developer fee and contingency: (a) the components sum to **$48,500,000** against a stated total of $47,500,000; (b) the Draw 9 row shows $3,475,000 of hard costs less $3,475,000 of retainage, plus $200,000 developer fee and $600,000

contingency, which is $4,275,000, not the stated $3,275,000; (c) the developer fee of $2,835,000 is allocated in full across senior draws although the Detailed Budget funds only **$1,835,000** of it from the senior Loan and $1,000,000 from the mezzanine loan; and (d) the contingency of $1,440,000 is disbursed on a scheduled basis in full by Draw 9.

Analysis. The $1,000,000 overstatement is exactly the mezzanine-funded portion of the developer fee, so the error has a single identifiable cause. The consequence is that the schedule cannot be used to administer the Loan: on its face it allocates to the senior Loan $1,000,000 of cost that the Approved Budget allocates to the mezzanine loan, and it leaves the senior-funded developer fee and the contingency without any draw line. Separately, the Term Sheet schedule deducts nothing for retainage when stating draws 2 to 8 and then releases only $3,275,000, so its cumulative drawn figures overstate the cash actually advanced.

Open. None — this is an arithmetic correction to be agreed with the Borrower.

Recommendation. Replace the schedule with a line-item schedule keyed to the Approved Budget, showing (i) gross hard cost, (ii) retainage, (iii) net cash, (iv) other loan-funded items, (v) total advance and (vi) cumulative advances, with the aggregate equal to the Commitment and every row footing. Draft Schedule 4 does this, and the accompanying reconciliation table sets out each correction against the source.

E-5 | The contingency is drawn on a schedule and the developer fee is funded in part by the mezzanine loan

Record. Borrower’s Draw Schedule: contingency amounts of $521,250 (Draw 2), $102,500 (Draws 6 and 7), $113,750 (Draw 8) and $600,000 (Draw 9) — the full $1,440,000. Developer fee of $695,000 (Draw 3), $695,000 (Draw 4), $521,250 (Draw 5), $245,000 (Draws 6 and 7), $233,750 (Draw 8) and $200,000 (Draw 9) — the full $2,835,000, the first instalments falling at 35% and 55% completion. Detailed Budget 5.01: senior loan $1,835,000, mezzanine $1,000,000.

Analysis. A contingency is a reserve against the unknown; drawing it on a schedule converts it into a budget line and removes the protection it exists to provide. Paying 100% of a developer fee, beginning at 35% completion, and funding 35% of it from subordinate debt that itself cannot be serviced (A-10) transfers value to the sponsor before completion and dilutes the Lender’s position in a workout.

Open. Whether the Borrower’s operating agreement or the mezzanine documents restrict distributions.

Recommendation. Permit contingency disbursement only against approved change orders or documented cost increases (Draft §6.5(a)); gate the developer fee to 50% completion for the first instalment, subject to no default and no overrun, and fund it from the sources in the Approved Budget (Draft §6.5(c)); and prohibit any distribution other than the developer fee during the construction period (Draft §10.1(g)). Note that Term Sheet §14 already prohibits distributions "except for payment of the developer fee", which confirms the intent.

E-6 | The entire soft cost budget is funded at closing

Record. Term Sheet §9.2: Draw 1 of $9,475,000 includes "initial soft costs $4,150,000". Detailed Budget Section III: $4,150,000, of which $250,000 is "Marketing & Lease-Up", $125,000 is construction inspection, $310,000 is the Lender's legal fees, $245,000 is title and recording and $210,000 is builder's risk premium.

Analysis. One hundred percent of the soft cost budget, including marketing and lease-up costs not incurred until well after completion and fees for services not yet rendered, is advanced at closing. This front-loads the loan, increases the average outstanding balance and therefore the interest cost, and means the Lender has funded costs that are never incurred if the Project fails early.

Open. The Borrower's preference; the cost of escrow administration.

Recommendation. Deposit the soft cost portion in a soft cost escrow and disburse against invoices as costs are incurred (Draft §5.5), or fund at closing only the items properly incurred at closing (title, recording, the origination fee and the Lender's documented fees). The former is preferable and is achievable because the title company is already acting as escrow agent.

E-7 | The "equity first" requirement has nothing to apply to

Record. Credit Memorandum §7.2: "The Borrower's equity (including the equity escrow deposit, if required per Section 5.3) must be fully invested in the Project before any loan advances are made, other than the initial closing advance (Draw 1)". Condition 10.2.8 repeats it.

Analysis. Because the only equity in the structure is the land (which was acquired before closing) and possibly the disputed $2,140,000, and because Draw 1 — $9,475,000, or 20% of the Commitment — is expressly carved out, the requirement is satisfied by construction without any cash being at risk ahead of the Lender. On the record the Borrower's only contribution has already been made and may itself be debt-funded (D-4).

Open. Whether the Borrower can fund genuine new equity.

Recommendation. Apply the Equity Deposit to the soft costs and fees that would otherwise be in Draw 1, so that Loan proceeds are not advanced against costs before the equity is at risk; require the equity to be at least $4,080,000 as recommended at A-2; and make equity-first a condition to every advance after the first. Draft §7.6(b), §7.6(d) and §5.1(i).

E-8 | No payment or performance bond is required from the Contractor

Record. Term Sheet §11 and §13 require the construction contract, the assignment of the construction contract, builder's risk insurance and the Architect's professional liability insurance, but no payment or performance bond. Credit Memorandum §9.8 recommends that the Bank "verify the financial strength and payment and performance bonding capacity of the contractor prior to closing" and include the Contractor's financial statements and bonding capacity in the closing deliverables.

Analysis. On a $34,750,000 ground-up construction with a single general contractor, a payment and performance bond is the conventional substitute for the Contractor's balance sheet and the most direct protection against a payment default and mechanic's liens. The record contains no Contractor financial information at all.

Open. The Contractor's financial statements, its surety, and the cost of bonding (which, if not in the guaranteed maximum price, is a budget item).

Recommendation. Require either (a) a payment and performance bond in the full contract amount from a surety acceptable to the Lender and named in the Loan Documents as obligee, or (b) if no bond is available, the Contractor's audited financial statements, a parent guaranty and a completion agreement in form acceptable to the Lender, together with a subguard or equivalent. At minimum, obtain what the Credit Memorandum recommends. Draft §4.1(l) and §9.1(v).

E-9 | Construction sequencing creates permit, environmental and change-order risks that the documents do not control

Record. Term Sheet §13 requires the Lender's consent to any material change in plans, specifications or scope, without a threshold. Term Sheet §11 requires all building permits to be obtained as a condition to closing. The Declaration requires architectural review approval (or 60-day deemed approval) before a building permit can issue (B-5). The NFA Letter requires a NCDEQ-approved soil management plan before subsurface disturbance (C-4). The Borrower's Draw Schedule assumes construction begins at closing on February 28, 2025.

Analysis. Three conditions precedent to the first day of work — building permit, architectural review and the soil management plan — are all

unconfirmed, and the schedule has no float. In addition, an unthresholded consent requirement on plan changes is unworkable in practice and will either be ignored (creating a technical default) or will delay change orders (creating schedule risk).

Open. The permit status, the ARC status and the soil management plan status.

Recommendation. Add a dollar and percentage threshold for change orders (Draft §6.4(a): $250,000 or 2% of the guaranteed maximum price, on a cumulative basis), require ARC approval before the Lender’s consent to any change order affecting the exterior (Draft §6.4(c)), require the soil management plan as a condition to any advance for site work, and confirm the permit position before the closing date is fixed. Draft §4.1(j), §4.1(k), §5.1(m) and Schedule 10.

10. COMMERCIAL TERMS, FEES AND INSURANCE

F-1 | The Lender's own fees and costs are funded from the Loan

Record. Detailed Budget 3.04 (Lender's legal and title/escrow costs, $310,000), 3.06 (appraisal, $35,000), 3.07 (title and recording, $245,000) and 4.02 (origination fee, $475,000) are all shown as "Funded by Senior Loan". Term Sheet §21.5 provides that "the Borrower shall pay all costs and expenses incurred by the Lender in connection with the origination, documentation, closing, and administration of the Loan".

Analysis. Financing $1,065,000 of transaction costs increases the effective LTC and reduces the Borrower's own funds at risk, and is in tension with §21.5. It is common in construction lending to fund the origination fee from proceeds; it is less common to fund the Lender's own legal fees, and doing so creates an appearance issue if the fees are later disputed. The appraisal and the title premium are properly Project Costs, but they still reduce the equity cushion.

Open. The Lender's internal policy on funding its own fees from proceeds.

Recommendation. Require the Lender's legal fees and the origination fee to be paid by the Borrower from the Equity Deposit at closing rather than advanced from the Loan, or, if they are to be funded, disclose the effect on the LTC calculation. Draft §3.5(a) and (e), §18.2 and Drafting Note 4.

F-2 | The rate conventions are under-specified

Record. Term Sheet §3.3: Daily Simple SOFR + 3.25% (construction) and + 3.50% (mini-perm), with a 1.00% floor, interest calculated on actual days over a 360-day year, and ARRC-consistent benchmark replacement provisions. No lookback convention, no rounding convention and no definition of "U.S. Government Securities Business Day" is specified.

Analysis. Daily Simple SOFR requires a determination convention (typically a five-day lookback without observation shift), and the absence of one creates room for dispute about any given day's rate. The benchmark replacement language is described but not drafted.

Open. Confirmation of the Lender's standard convention.

Recommendation. Specify a five-business-day lookback without observation shift, a rounding convention, the definition of a U.S. Government Securities Business Day, and hardwired replacement language. Draft §1.1(tt), §3.3.

F-3 | The default rate may not be enforceable at the level proposed

Record. Term Sheet §3.3: default rate equal to the applicable contract rate plus 5.00%; §15 allows a five-day grace period for monetary defaults.

Analysis. At a SOFR of 4.35% the default rate is 12.60% to 12.85%. North Carolina permits commercial parties to agree to a rate (N.C.G.S. §24-2), but a post-default increase that operates as a penalty may be reduced, and the point has not been addressed in any document. A usury savings clause is included in the Draft Loan Agreement but does not resolve whether the increase is a penalty.

Open. The Lender's standard position and its counsel's view.

Recommendation. Retain the 5.00% increase but include the usury savings and "lesser of" language in the Note and the Loan Agreement (Draft §3.11), and do not rely on the default rate as a remedy in any workout discussion.

F-4 | Several commercial points are missing from the Term Sheet and require the Borrower's agreement

Record. The Term Sheet contains no late charge, no prepayment provision (and no statement that prepayment is permitted), and no provision for the Lender's costs on a failed closing beyond the $75,000 expense deposit. Term Sheet §22 describes the expense deposit as "non-refundable" and then provides that "if the Loan does not close for any reason, any unused portion of the expense deposit shall be returned to the Borrower".

Analysis. Each is a standard term that the Lender will want and the Borrower has not agreed. The expense deposit provision is internally contradictory: it cannot be both non-refundable and refundable, and the drafting should be resolved in the Lender's favour or rewritten to describe a deposit applied against costs with the balance returned.

Open. The Borrower's position on each.

Recommendation. Present the late charge (Draft §3.9), the prepayment right and the exit fee mechanics (Draft §3.6) and the expense provisions (Draft §18.2) as additions for negotiation, flagged as such (Drafting Note 4). The expense deposit contradiction should be resolved by amendment before closing regardless.

F-5 | The exit and unused line fees should be tested against the likely repayment profile

Record. Term Sheet §3.4: exit fee of 0.50% of the outstanding balance if repaid during the construction period, 0.25% during the first six months of the mini-perm, and zero thereafter; unused line fee of 0.25% per annum on the average daily undrawn commitment from the first quarterly date after closing.

Analysis. The unused line fee is payable on the undrawn commitment, which starts at $38,025,000 and declines over 30 months — on a rough average undrawn balance of $15,000,000 that is approximately $37,500 per annum, which is immaterial. The exit fee structure creates an incentive to repay before the mini-perm period, which is inconsistent with the Lender's interest in a scheduled take-out, and it produces nothing if the loan runs to maturity. Neither is a defect, but the Credit Memorandum does not quantify either fee, so the Committee has not seen the economics.

Open. None.

Recommendation. Quantify both fees in the credit file and confirm that the exit fee is payable on acceleration and on foreclosure (or, if it is not, that the omission is deliberate). Draft §3.5(b) and §3.6 apply the exit fee on voluntary prepayment; the Lender should decide whether it applies on acceleration.

G-1 | The insurance requirements do not match the risk

Record. Term Sheet §19 and Credit Memorandum §8.1 require builder's risk of not less than $34,750,000, commercial general liability of $5,000,000 per occurrence and $10,000,000 aggregate, umbrella of $10,000,000, workers' compensation at statutory limits and, conditionally, flood insurance. Credit Memorandum §8.1 adds professional liability of $2,000,000 for the Architect. Detailed Budget 3.09 allows $210,000 for builder's risk.

Analysis. Builder's risk at $34,750,000 insures the hard cost, not the replacement cost of the completed improvements (the Appraisal's as-completed value is $72,800,000); the conventional standard is full replacement cost, with the guaranteed maximum price as a floor. The record contains no rental loss coverage (which matters from stabilisation), no ordinance or law coverage (a live issue for a podium and parking structure in a historic district), and no equipment breakdown coverage.

Open. The insurance broker's programme and the cost of the additional coverages.

Recommendation. Require builder's risk at full replacement cost with $34,750,000 as a floor and with soft cost, ordinance or law and debris removal endorsements; add rental loss from substantial completion, equipment breakdown, automobile liability and the Architect's professional liability; and specify mortgagee endorsement, additional insured status, primary and non-contributory wording, waiver of subrogation and 30 days' notice of cancellation (10 days for non-payment). Draft §19.1, §19.2 and Schedule 5.

G-2 | The two flood determinations in the record cite different FIRM panels

Record. Appraisal §2: Flood Zone X per FIRM panel **3710406400J**, effective **May 2, 2019**, and "flood insurance is not required by federal regulation". Phase I ESA §2.3: Flood Zone X per FIRM panel **3720098700J**, effective **March 2, 2009**.

Analysis. Both conclude that the site is not in a Special Flood Hazard Area, so the credit conclusion is the same, but the panel and effective date cannot both be right and one source may be relying on a superseded map. For a national bank the flood determination is a compliance item (Flood Disaster Protection Act; part 339 for savings associations and part 22 for national banks), not merely an underwriting note, and the file should contain a current determination from a reliable vendor.

Open. A current standard flood hazard determination.

Recommendation. Obtain a current determination before closing and correct the Appraisal's and the Phase I ESA's references; if any part of the site is in a Special Flood Hazard Area, require flood insurance in the required amount and evidence of it at closing. Draft §4.1(w), §19.1(f) and Drafting Note 21.

11. LEGAL AND DOCUMENTATION MATTERS

H-1 | Guarantor support is adequate in aggregate but concentrated and illiquid

Record. Credit Memorandum §2.3: combined net worth $41,300,000 (Ms. Vasquez-Torres $29,800,000; Mr. Osei $11,500,000); combined liquidity $9,300,000 ($6,100,000 and $3,200,000); liquidity covenant $5,000,000; each Guarantor's partial repayment exposure $11,875,000. Credit Memorandum §2.3.3 notes that Mr. Osei's exposure is 103.3% of his net worth and that both guarantors' net worth is weighted to real estate (65% and 59% respectively).

Analysis. The aggregate support is strong. The weakness is the second guarantor: Mr. Osei's guarantee exceeds his net worth and his liquid assets cover only 27% of it. In a default requiring the guarantors to perform, the practical recourse will be to Ms. Vasquez-Torres. That is not a reason to decline the credit; it is a reason to size the guarantees against the person who can actually pay, and to test liquidity rather than net worth.

Open. Verification of the personal financial statements and the real estate valuations behind them.

Recommendation. Retain the aggregate $5,000,000 liquidity covenant, add the net-worth covenant at A-4, require quarterly liquidity certifications (Draft Schedule 7), and consider whether the guarantee should be apportioned rather than joint and several if the Lender's objective is collection rather than litigation.

H-2 | North Carolina's anti-deficiency regime affects the guaranty structure

Record. Credit Memorandum §4.3 ("North Carolina Considerations") flags that North Carolina is a judicial foreclosure state, that deficiency judgments are subject to the fair price confirmation requirements of N.C.G.S. §45-21.36, and that outside counsel should review the guaranty structure for compliance, including "the enforceability of the guaranty obligations independent of the underlying indebtedness and the effect of anti-deficiency protections on guarantor liability". No document addresses the point further.

Analysis. North Carolina's power-of-sale foreclosure is subject to the notice and hearing requirements of N.C.G.S. §45-21.16, and on a deficiency motion the obligor is entitled to a hearing and to credit for the fair market value of the property sold under N.C.G.S. §45-21.36. A guaranty that purports to waive those rights may be unenforceable in part and may taint the balance of the waiver provisions. The Loan Documents should preserve rather than

purport to waive non-waivable rights, and should be drafted so that a successful challenge to one provision does not invalidate the guarantee.

Open. North Carolina counsel's opinion on the enforceability of each waiver and on election of remedies if the Lender pursues the guarantors before completing a foreclosure.

Recommendation. Include an express savings provision preserving the fair-value credit and a severability clause specific to the guaranties; require the guaranty to be a guarantee of payment and not of collection but without purporting to waive §45-21.36; and obtain a North Carolina enforceability opinion addressed to the Lender covering the guaranties and the deed of trust. Draft §15.4, §17.4 and §4.1(s).

H-3 | The North Carolina excise tax on the Deed of Trust appears to be unfunded

Record. Detailed Budget 3.07 allows **$245,000** for "Title Insurance & Recording — Lender's title policy, endorsements, recording fees". No document identifies the North Carolina excise tax on instruments evidencing indebtedness. N.C.G.S. §105-228.28 imposes a tax of $1.00 per $100.00 of the principal indebtedness secured by a deed of trust on North Carolina real property.

Analysis. On a deed of trust securing $47,500,000 recorded at the full committed amount, the tax is **$475,000** — almost twice the entire combined title and recording line, before any premium. Whether a construction deed of trust may be recorded at the amount of the initial advance (with the balance added by an increase endorsement as advances are made) is a matter of North Carolina practice and Title Company policy, and we have not assumed that it is available; if it is, the exposure is materially reduced. Either way, the budget line appears inadequate and no source of funds has been identified for the difference.

Open. Confirmation from Aldersgate Title & Escrow and from North Carolina counsel of the recording amount and the tax computation; the title premium quote.

Recommendation. Obtain a written tax and premium computation from the Title Company before closing; increase the Approved Budget line or require the Borrower to fund the excess; and confirm that the Deed of Trust does not need to be re-recorded at a higher amount on each advance. Draft §18.2 and Schedule 3.

H-4 | The land acquisition date is stated four different ways

Record. Phase I ESA §2.2: "Harborview Capital Partners LLC acquired the Subject Property in **2022**". Title Commitment Schedule A, Item 5: title

vested by Special Warranty Deed "recorded in Book 7598, Page 443 … dated **June 12, 2023**". Appraisal §6.1: the $8,200,000 "was the price paid by Harborview Capital Partners LLC in **early 2024**". Org chart §1.3: the land was contributed to the Borrower "upon formation of the project entity" — the Borrower was formed on **March 14, 2019**.

Analysis. Four dates cannot all be right, and the discrepancy goes to the integrity of the file rather than to the credit: the acquisition date determines when the land entered the capital stack, whether the pre-development spend was capitalised, and whether the Existing Mortgage was assumed at acquisition. A file in which the acquisition date cannot be agreed is a file in which the Borrower's cost basis cannot be relied on.

Open. The 2023 closing statement and deed; the Borrower's capital account records.

Recommendation. Obtain the acquisition documents and correct the narrative in the Credit Memorandum and any appraisal addendum; do not repeat the Appraisal's "early 2024" statement in the closing file. Draft Schedule 3 and Drafting Note 9.

H-5 | The claim that the Project is permitted "as of right" is unverified

Record. Term Sheet §2: "The proposed development is permitted as of right under the current zoning designation. No special use permit, conditional zoning, or variance is required." Credit Memorandum §3.1 and §13 repeat it. Title Commitment Item 7 states only that the Land "is currently zoned MU-D" and that the Company "makes no representation as to compliance with applicable zoning ordinances or regulations"; Exception 12 excepts the Unified Development Ordinance in its entirety, including setbacks, height, floor area ratio, parking minimums and maximums, open space, public art and design overlay requirements. The Appraisal §2 states that the maximum height in MU-D is 120 feet and that the Project at approximately 78 feet complies, and that minimum parking has been satisfied by 276 spaces.

Analysis. "Permitted as of right" is a conclusion that requires (i) a zoning compliance or verification letter from the City, (ii) confirmation of the parking ratio calculated on the correct unit and retail mix, and (iii) the design overlay requirements of the Downtown Development Tier — none of which is in the file. A parking shortfall or an open-space or public-art condition cannot be cured by variance once construction has begun.

Open. The zoning compliance letter; the civil and parking calculations.

Recommendation. Make the City of Durham zoning compliance letter a closing condition (Draft §4.1(j)) and require a zoning endorsement to the

Title Policy (Draft §4.2(iv)); have the Architect certify the parking, open space and public art calculations against the ordinance.

H-6 | Several documents required by the record are missing, and the Guarantors' addresses are not stated

Record. The Term Sheet and Credit Memorandum require, among other things, the Guarantors' personal financial statements and two years of tax returns, the Borrower's audited statements, certificates of good standing, member resolutions, legal opinions, the non-consolidation opinion, the intercreditor agreement and the Assignment of Construction Contract. None is in the file. Neither Guarantor's street address appears in any document; both are identified only by city of residence.

Analysis. None of these is unusual, but as at the date of this memorandum the file does not contain the material required to close, and the closing date of February 28, 2025 leaves 20 business days or fewer from the Credit Memorandum.

Open. All of the above.

Recommendation. Part 12 lists the information requests and the responsible party for each. Draft §22.1 and Drafting Note 24 require the Guarantors' notice addresses before the Guaranties are issued.

12. CROSS-REFERENCE AND OUTSTANDING DILIGENCE

12.1 Table 4 maps each issue in this memorandum to the provision of the Draft Loan Agreement that addresses it, so that the Lender can verify that every flagged point is carried into the instrument.

Table 4 — Issue-to-draft cross-reference

Issue	Subject	Draft provision	Status in the draft
A-1	As-completed LTV	§2.6(b)–(d), Drafting Note 2	Mechanism included; 65% covenant applied; figure bracketed pending decision
A-2	LTC and equity cure	§2.6(a), (c)–(d); §7.6; Schedule 3; Drafting Note 2	Mechanism included; amount bracketed
A-3	Borrower net worth	§11.1(e)–(f), Drafting Note 10	Term Sheet figure bracketed with alternative
A-4	Guarantor net worth	§11.1(g), §16.1(n)	Included as new covenant
A-5	Guaranty quantum	§4.1(b), §15.2, Drafting Note 18	Aggregate cap of $11,875,000 stated
A-6	Contingency	§6.5(a), §6.5(b), Schedule 3	Corrected split recorded; 5% recommendation noted
A-7	Interest reserve	§7.1, §7.4, §7.5, §1.1(qq), Drafting Note 8	Amount bracketed; protections included
A-8	CC&R assessment in OpEx	§9.1(f), §20.3, Schedule 7	Covenant included; appraisal addendum required
A-9	Appraisal dating and use restriction	§4.1(d), Drafting Note 6	Addendum made a closing condition
A-10	Combined debt service	§21.2(d), Drafting Note 17(b)	Combined coverage test added
A-11	HVCRE	Drafting Note 9 (cross-reference)	No draft provision required; credit file to be corrected
B-1	Site geometry	Schedule 1, §4.1(i), Drafting Note 15	Survey made a closing condition; note records the conflict
B-2	Existing Mortgage	§1.1(ff)–(gg), §4.1(h), §14.3, Schedule 2, Drafting Note 16	Closing condition and payoff mechanics included
B-3	Title grantor inconsistency; expiry	§4.1(g), §4.2, §14.2	Correction and date-down required
B-4	Land use restriction not in title	§4.1(e)(iii), §13.2(d), Schedule 2 (Exception 14)	New Permitted Exception and endorsement required
B-5	Architectural review	§4.1(k), §20.3, Drafting Note 22	Hard closing condition
B-6	CC&R covenant and injunctive rights	§9.1(f), §9.1(q), §20.3, §6.4(c)	Covenants included
B-7	Eastern access	§4.1(i)(iv), §4.2(ii), Schedule 2 (Exception 15)	Survey and access endorsement required
B-8	Mechanic’s liens	§4.1(m), §9.1(n), §14.2, Drafting Note 15(f)	Affidavits, waivers and lien agent required
B-9	Survey and endorsements	§4.1(i), §4.2	Both scheduled in full
C-1	Four NFA conditions	§13.2, §13.5, §16.1(k), Schedule 7	All four conditions reproduced
C-2	Deed notice	§13.2(d), §4.1(e)(iii)	Closing condition and covenant
C-3	Residential units above restricted area	§4.1(e)(vi), §13.4, Drafting Note 13	Overlay and three alternatives required
C-4	Soil management plan	§13.2(c), §4.1(e)(iv), §13.5	Closing condition and advance condition

Issue	Subject	Draft provision	Status in the draft
C-5	Vapour mitigation system	§13.3, §6.4(a)(iii), §6.7(f), Drafting Note 14	Full covenant set and release condition
C-6	UST facts	Drafting Note 14	No draft provision required; appraisal correction requested
C-7	Remediation volume and cost	Schedule 3, Drafting Note 14	Reconciliation required
C-8	Pre-closing costs	§1.1(yyy), Schedule 3	Included in Total Project Costs definition
C-9	AAI shelf life; Phase II delivery	§4.1(e)(i), Drafting Note 14	Closing conditions and update covenant
C-10	Pollution legal liability insurance	§4.1(f), §13.6, Schedule 5	Required
C-11	Residual contamination; sewer main	§13.1, §13.3, Schedule 1 note	Survey and covenant
D-1	Competing pledges	§14.1(g), §14.4, §14.5, §4.1(q)	Senior first, mezzanine second
D-2	Operating agreement approvals	§4.1(c)(iii), §10.1(e)	75% consents required
D-3	Brightleaf’s interest and veto	§14.7, §10.1(f), §12.4	Disclosure and affiliate covenants
D-4	Land funding	§7.6(c), §14.6, Drafting Note 9	Source verification and automatic reduction
D-5	Independent manager / non-consolidation	§12.2–§12.5, §4.1(r), Drafting Note 11	Included as closing conditions
D-6	Mezzanine extension	§14.5(b)(viii), §21.2(g)	Automatic extension required
D-7	Pledge perfection	§14.4(b)–(c)	Certificates, transfer powers, proxies, UCC-1
E-1	“Single advance facility”	§2.1, Drafting Note 1	Corrected
E-2	Construction maturity	§1.1(q), §5.8, §15.1(a), Schedule 10, Drafting Note 23	Alternative dates bracketed
E-3	Retainage	§6.6, §6.7, Schedule 4, Drafting Note 7	Full release on Release Conditions
E-4	Draw schedule	§6.2, Schedule 4	Replaced and reconciled
E-5	Contingency and developer fee	§6.5(a)–(c), §10.1(g)	Gated
E-6	Soft costs at closing	§5.5, §7.6	Soft cost escrow
E-7	Equity first	§5.1(i), §7.6(b), (d)	Reconciled with Draw 1
E-8	Contractor bonding	§4.1(l), §9.1(v)	Required or alternatives specified
E-9	Sequencing and change orders	§6.4(a)–(d), §4.1(j)–(k), Schedule 10	Thresholds and conditions added
F-1	Lender fees from proceeds	§3.5(a), (e), §18.2, Drafting Note 4	Flagged; policy decision required
F-2	Rate conventions	§3.3, §1.1(tt)	Lookback and replacement language added
F-3	Default rate	§3.4, §3.11, §22.13, Drafting Note 3	Savings clause added
F-4	Late charge, prepayment, expense deposit	§3.6, §3.9, §18.2, Drafting Note 5	Additions flagged for negotiation
F-5	Exit and unused line fees	§3.5(b)–(c), §3.6	Retained as agreed; acceleration point flagged
G-1	Insurance	§19.1, §19.2, Schedule 5	Expanded
G-2	Flood determination	§4.1(w), §19.1(f), Drafting Note 21	Current determination required

Issue	Subject	Draft provision	Status in the draft
H-1	Guarantor support	§11.1(d), §11.1(g), Schedule 7	Covenants and reporting
H-2	Anti-deficiency	§15.4, §17.4, §4.1(s)	Savings provisions and opinion required
H-3	NC excise tax	§18.2, Schedule 3, Drafting Note 20	Budget line to be increased
H-4	Acquisition date	Schedule 3, Drafting Note 9	Documents requested
H-5	Zoning “as of right”	§4.1(j), §4.2(iv)	Zoning letter and endorsement required
H-6	Missing documents	§4.1, §22.1, Table 5	Listed below

12.2 Table 5 lists the information and documents the Lender should obtain before the closing date, with the party from whom each is expected and our assessment of whether it is capable of being obtained in time.

Table 5 — Outstanding diligence and information requests

#	Item	Source	Needed for	Obtainable by closing?
1	Payoff letter for the Existing Mortgage, with per diem, dated within 30 days of closing	Triangle Commercial Bank (via Borrower / Title Company)	B-2, §4.1(h)	Yes — a standard 2 to 3 day request
2	Evidence of recording of the NCDEQ deed notice (or a written NCDEQ response)	Borrower / Sentinel	B-4, C-2	Yes, if recorded; uncertain if not
3	Copy of the NFA Letter dated September 30, 2024 in full	Borrower / Sentinel	C-1	Yes
4	Phase II ESA (SEC-2024-1089) in full and Sentinel’s reliance letter to the Lender	Sentinel	C-9	Yes
5	NCDEQ-approved soil management plan	Borrower / Sentinel	C-4	Uncertain — depends on NCDEQ
6	Architect’s overlay of the plans on the Phase II delineation; NCDEQ position on residential use above the restricted area	Meridian Design Collective / NCDEQ	C-3	Overlay yes; NCDEQ confirmation uncertain
7	ALTA/NSPS survey (2021 standards, Table A as required), certified to Lender, Borrower and Title Company	Borrower’s surveyor	B-1, B-7, B-9	Yes, if instructed now
8	Marked-up title commitment showing all endorsements, and a written excise tax and premium computation	Aldersgate Title & Escrow	B-9, H-3	Yes
9	ARC submission, approval or evidence of expiry of the deemed-approval period	Borrower / Brightleaf Historic District Association	B-5	Submission yes; approval uncertain
10	City of Durham zoning compliance letter and building permit status	Borrower	H-5, E-9	Yes
11	GMP construction contract, all change orders, the Architect’s contract and the Contractor’s financial statements and bonding capacity	Borrower	E-8, §4.1(l)	Yes
12	Payment and performance bond (or the alternatives in E-8)	Contractor / surety	E-8	Uncertain — lead time may be 30 days

#	Item	Source	Needed for	Obtainable by closing?
13	Executed Intercreditor Agreement and the Mezzanine Loan Documents	Lender’s counsel / Mezzanine Lender	D-1, D-6	Negotiable; the principal timing risk
14	Amended and restated operating agreement with SPE covenants and independent manager; written consents of all three members	Borrower’s counsel	D-2, D-5	Yes, but requires a 75% vote
15	Non-consolidation opinion	Calloway & Strauss PLLC	D-5	Yes
16	Source-of-funds tracing for the Equity Deposit and for the 2023 land acquisition	Borrower	D-4, A-2	Yes, if the funds exist
17	Borrower financial statements, Guarantor personal financial statements and two years of tax returns, certified	Borrower / Guarantors	A-3, A-4, H-1	Yes
18	Certificates of good standing (Borrower and Brightleaf), articles of organization, member resolutions	Borrower	D-2	Yes
19	Current flood determination certificate	Lender’s vendor	G-2	Yes
20	Pollution legal liability insurance quote and binder (or a remediation cost cap)	Borrower’s broker	C-10	Quote yes; binder uncertain
21	Appraisal addendum: dated recertification, correction of the December 5, 2024 reference, value without the affected units, identification of the land use restriction, and the CC&R assessment in operating expenses	Ridgeline Appraisal Services	A-8, A-9, C-3	Yes
22	Current ALTA survey and Phase I update if closing occurs after April 26, 2025	Surveyor / Sentinel	B-9, C-9	Only if needed
23	Guarantors’ street addresses and taxpayer identification numbers	Guarantors	§22.1	Yes
24	Background, judgment and lien searches for the Borrower, each member and each Guarantor	Lender’s vendor	Schedule 8.1(e)	Yes

13. ASSUMPTIONS, LIMITATIONS AND RELIANCE

13.1 We have assumed, without independent verification, that (a) the copies of the documents listed in Table 1 that we have been given are complete and conform to the originals, and that no side letters, amendments or waivers exist other than those identified; (b) the documents dated after the date of the Term Sheet have not been superseded; (c) the arithmetic in the underlying schedules is as it appears, subject to the recomputations in Part 4; and (d) the persons who signed or issued the documents were authorised to do so.

13.2 We are not valuers, engineers, environmental consultants or accountants, and nothing in this memorandum is an opinion on value, on the physical or environmental condition of the Property, on the adequacy of the environmental remediation, or on the accounting treatment of any item. Our observations on the Appraisal and the Phase I ESA are directed to the consistency and completeness of the record and to the consequences for the Lender's documentation, not to the professional adequacy of those reports.

13.3 Our observations on North Carolina law (including N.C.G.S. §44A-10 on mechanic's lien relation-back, §44A-11.3 on lien agents, §45-21.16 and §45-21.36 on foreclosure and deficiency, §105-228.28 on the deed of trust excise tax, and §24-2 on interest) are preliminary and should be confirmed by North Carolina counsel before closing. Several of them, in particular the excise tax computation and the recording practice for construction deeds of trust, depend on local practice that we recommend the Title Company confirm in writing.

13.4 This memorandum has been prepared for Pinnacle Savings Bank, N.A. for the purpose of its credit decision and the documentation of the Loan. It may be relied upon by the Lender, its regulators and its counsel. It may not be relied upon by any other person, including the Borrower, the Guarantors, the Mezzanine Lender or the Title Company, without our prior written consent. Drafts of the Draft Loan Agreement are furnished for discussion only and do not constitute an offer, a commitment or legal advice to any party other than the Lender.

13.5 Our conclusions are interim. Items in Table 5 that remain outstanding at closing may change the analysis in this memorandum, and we should be instructed to update it if (a) the Loan Amount or the Total Project Costs change, (b) the survey or any environmental instrument is received, (c) the source of the Borrower's equity is established, or (d) the intercreditor agreement is agreed.

14. RECOMMENDED NEXT STEPS

14.1 We recommend the following sequence. The dates assume a February 28, 2025 closing and are expressed in business days from the date of this memorandum.

Table 6 — Recommended sequence

Step	Action	Responsible	Timing
1	Decide the four Critical business points: the Loan Amount and LTC/LTV cure (A-1, A-2); the source of the $3,400,000 payoff (B-2); the Construction Maturity Date (E-2); and whether the Guarantors' capital contribution can be verified (D-4)	Lender (credit approver) with counsel	Immediately — before the draft is circulated
2	Instruct the survey, the architectural overlay, the appraisal addendum and the Phase I/Phase II reliance letters	Borrower, at its cost	Immediately
3	Request the payoff letter and the NCDEQ deed notice evidence	Borrower and Title Company	Within 2 business days
4	Circulate this memorandum and the Draft Loan Agreement to the Borrower's counsel with a covering letter identifying the Critical and Closing-condition items	Lender's counsel	Within 3 business days
5	Resolve the Intercreditor Agreement, which is the principal timing risk and a hard closing condition (D-1, D-6)	Lender's counsel and Mezzanine Lender's counsel	Within 10 business days
6	Obtain member consents and the amended and restated operating agreement with SPE and independent manager provisions (D-2, D-5)	Borrower's counsel	Within 10 business days
7	Confirm the excise tax and title premium position, and the endorsement schedule (H-3, B-9)	Title Company	Within 10 business days
8	Re-model the interest reserve and re-run the LTC and combined coverage calculations once the Loan Amount and the Total Project Costs are fixed (A-2, A-7, A-10)	Lender's credit team	Within 10 business days
9	Complete the source-of-funds tracing and, if the tracing is adverse, amend the Commitment and the Approved Budget (D-4, A-2)	Borrower	Within 15 business days
10	Confirm that the building permit will issue (ARC approval or deemed approval) and adjust the construction start date if not (B-5, E-9)	Borrower and Architect	Before closing

14.2 We recommend that the Lender treat items A-1, A-2, B-2, D-1, D-4 and E-2 as non-waivable. Each goes to the size, the structure or the

enforceability of the facility rather than to the quality of the collateral, and each is capable of resolution before closing if it is raised now. Conversely, items A-6, A-8, C-6, F-5 and G-2 are capable of being addressed by correction and do not require a business decision.

14.3 We would be glad to discuss any part of this memorandum and to attend the Senior Loan Committee if that would assist.

Respectfully submitted,

ASHFORD, CROMDALE CONSULTING & LAINE LLP

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> *This memorandum is a privileged and confidential attorney–client communication and attorney work product prepared in connection with the Lender’s credit decision. It contains our preliminary analysis based on the documents identified in Table 1 and is subject to the assumptions and limitations in Part 13. It is not an opinion of value, an environmental opinion, or an accounting opinion, and it does not address the legal position of any party other than the Lender.*